

0-9

12b-1



[Glossary Term Usage](#) | See Topic(s): [940](#) , [946](#)

Rule 12b-1 in Chapter 17 of the Code of Federal Regulations is one of the regulations implementing the Investment Company Act of 1940.

401(h) Accounts



[Glossary Term Usage](#) | See Topic(s): [960](#) , [965](#)

A postretirement medical-benefit component provided in some defined benefit pension plans in addition to the normal retirement benefits of the plan, pursuant to Section 401(h) of the Internal Revenue Code.

A

Absolute Priority Doctrine



[Glossary Term Usage](#) | See Topic(s): [852](#)

A doctrine that provides that if an impaired class does not vote in favor of a plan, the court may nevertheless confirm the plan under the [cram-down provisions](#) of the [Bankruptcy Code](#). The absolute priority doctrine is triggered when the cram-down provisions apply. The doctrine states that all members of the senior class of creditors and equity interests must be satisfied in full before the members of the second senior class of creditors can receive anything, and the full satisfaction of that class must occur before the third senior class of creditors may be satisfied, and so on.

Accident Year



[Glossary Term Usage](#) | See Topic(s): [944](#)

The year in which a covered event (as defined by the terms of the contract) occurs.

Accounting Change



[Glossary Term Usage](#) | See Topic(s): [250](#) , [270](#)

A change in an accounting principle, an accounting estimate, or the reporting entity. The correction of an error in previously issued financial statements is not an accounting change.



Accretable Yield

NO INCOMING LINKS

The excess of a loan's cash flows expected to be collected over the investor's initial investment in the loan.

Accretion Expense

[Glossary Term Usage](#) | See Topic(s): [220](#) , [410](#)

An amount recognized as an expense classified as an operating item in the statement of income resulting from the increase in the carrying amount of the liability associated with the asset retirement obligation.

Accumulated Benefit Obligation

[Glossary Term Usage](#) | See Topic(s): [715](#)

The actuarial present value of benefits (whether vested or nonvested) attributed, generally by the pension benefit formula, to employee service rendered before a specified date and based on employee service and compensation (if applicable) before that date. The accumulated benefit obligation differs from the projected benefit obligation in that it includes no assumption about future compensation levels. For plans with flat-benefit or non-pay-related pension benefit formulas, the accumulated benefit obligation and the projected benefit obligation are the same.

Accumulated Eligibility Credits

[Glossary Term Usage](#) | See Topic(s): [965](#)

Plan participants may qualify for a benefit in which eligibility credits or hours accumulate and result in the plan covering payment of insurance premiums or benefits for a period of time for those participants who have accumulated a sufficient number of such credits or hours to be eligible for the credits. Eligible participants are provided with insurance coverage during periods of unemployment, when employer contributions to the plan would not otherwise provide coverage or benefits. The accumulated eligibility credits are sometimes referred to as bank of hours.

Accumulated Plan Benefits

[Glossary Term Usage](#) | See Topic(s): [960](#)

Future benefit payments that are attributable under the provisions of a pension plan to employees' service rendered to the benefit information date. Accumulated plan benefits comprise benefits expected to be paid to any of the following:

- a. Retired or terminated employees or their beneficiaries
- b. Beneficiaries of deceased employees
- c. Present employees or their beneficiaries.

Accumulated Postretirement Benefit Obligation

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[Glossary Term Usage](#) | See Topic(s): [715](#)

The actuarial present value as of a particular date of all future benefits attributed to an employee's service rendered to that date assuming the plan continues in effect and that all assumptions about future events are fulfilled. The accumulated postretirement benefit obligation generally reflects a ratable allocation of expected future benefits to employee service already rendered in the attribution period. Before an employee's full eligibility date, the accumulated postretirement benefit obligation as of a particular date for an employee is the portion of the expected postretirement benefit obligation attributed to that employee's service rendered to that date; on and after the full eligibility date, the accumulated and expected postretirement benefit obligations for an employee are the same.

Accumulation Phase

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[Glossary Term Usage](#) | See Topic(s): [944](#)

The period during an annuity contract before annuitization. An insurance entity may call an annuity having an accumulation phase a deferred annuity.

Acquiree

^

[Glossary Term Usage](#) | See Topic(s): [220](#) , [805](#) , [810](#) , [842](#) , [958](#)

The [business](#) or [businesses](#) that the [acquirer](#) obtains control of in a [business combination](#). This term also includes a nonprofit activity or business that a not-for-profit acquirer obtains control of in an [acquisition by a not-for-profit entity](#).

Acquirer

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[Glossary Term Usage](#) | See Topic(s): [220](#) , [350](#) , [420](#) , [450](#) , [460](#) , [730](#) , [740](#) , [805](#) , [810](#) , [815](#) , [820](#) , [842](#) , [954](#) , [958](#) , [985](#)

The entity that obtains control of the [acquiree](#). However, in a [business combination](#) in which a [variable interest entity](#) (VIE) is acquired, the primary beneficiary of that entity always is the acquirer.

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Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [805-10-65-5](#)

The entity that obtains control of the [acquiree](#). See paragraphs [805-10-25-4 through 25-5](#) for guidance on determining the acquirer.

Acquisition, Development, and Construction Arrangements

[Glossary Term Usage](#) | See Topic(s): [310](#) , [810](#) , [970](#)

Acquisition, development, or construction arrangements, in which a lender, usually a financial institution, participates in expected residual profit from the sale or refinancing of property.

Acquisition by a Not-for-Profit Entity

[Glossary Term Usage](#) | See Topic(s): [220](#) , [270](#) , [350](#) , [420](#) , [450](#) , [460](#) , [730](#) , [740](#) , [805](#) , [815](#) , [820](#) , [840](#) , [842](#) , [954](#) , [958](#) , [985](#)

A transaction or other event in which a not-for-profit acquirer obtains control of one or more nonprofit activities or businesses and initially recognizes their assets and liabilities in the acquirer's financial statements. When applicable guidance in Topic [805](#) is applied by a [not-for-profit entity](#), the term [business combination](#) has the same meaning as this term has for a for-profit entity. Likewise, a reference to business combinations in guidance that links to Topic [805](#) has the same meaning as a reference to acquisitions by not-for-profit entities.

Acquisition Costs

[Glossary Term Usage](#) | See Topic(s): [220](#) , [944](#)

Costs that are related directly to the successful acquisition of new or renewal insurance contracts.

Acquisition Date

[Glossary Term Usage](#) | See Topic(s): [450](#) , [740](#) , [805](#) , [954](#) , [958](#)

The date on which the [acquirer](#) obtains control of the [acquiree](#).

Acquisition of Properties

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [932](#)

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(1), for the definition of acquisition of properties as used within that Rule.

Active Market

[Glossary Term Usage](#) | See Topic(s): [820](#)

A market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

Active Plan Participant

[Glossary Term Usage](#) | See Topic(s): [715](#)

Any active employee who has rendered service during the credited service period and is expected to receive benefits, including benefits to or for any beneficiaries and covered dependents, under the postretirement benefit plan. See [Plan Participant](#).

Activities

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [360](#) , [835](#)

The term activities is to be construed broadly. It encompasses physical construction of the asset. In addition, it includes all the steps required to prepare the asset for its intended use. For example, it includes administrative and technical activities during the preconstruction stage, such as the development of plans or the process of obtaining permits from governmental authorities. It also includes activities undertaken after construction has begun in order to overcome unforeseen obstacles, such as technical problems, labor disputes, or litigation.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [958](#)

Activities are efforts to accomplish specific objectives. Some activities include producing and distributing materials. For example, if a not-for-profit entity (NFP) undertakes a mass mailing that includes a letter and a pamphlet, producing and distributing the letter and pamphlet are part of the activity. Other activities may include no materials, such as an annual dinner or a radio commercial.

Actual Return on Plan Assets (Component of Net Periodic Pension Cost)

[Glossary Term Usage](#) | See Topic(s): [715](#)

For a funded plan, the actual return on plan assets is determined as the difference between the fair value of plan assets at the end of the period and the fair value at the beginning of the period, adjusted for contributions and payments of benefits during the period.

Actual Return on Plan Assets (Component of Net Periodic Postretirement Benefit Cost)

[Glossary Term Usage](#) | See Topic(s): [715](#)

The change in the fair value of the plan's assets for a period including the decrease due to expenses incurred during the period (such as income tax expense incurred by the fund, if applicable), adjusted for contributions and benefit payments during the period. For a funded plan, the actual return on plan assets shall be determined based on the fair value of plan assets (see paragraph [715-60-35-107](#)) at the beginning and end of the period, adjusted for contributions and benefit payments. If the fund holding the plan assets is a taxable entity, the actual return on

plan assets shall reflect the tax expense or benefit for the period determined in accordance with generally accepted accounting principles (GAAP). Otherwise, no provision for taxes shall be included in the actual return on plan assets.

Actual-Income-Available Method

[Glossary Term Usage](#) | See Topic(s): [946](#)

A method to calculate distributions to shareholders from net investment income in which actual net investment income that has been allocated to each class (as recorded on the books) is divided by the record date shares for each class to derive the dividend payable per share.

Actuarial Asset Value

[Glossary Term Usage](#) | See Topic(s): [960](#)

A value assigned by an actuary to the assets of a plan generally for use in conjunction with an actuarial cost method.

Actuarial Calculation

[Glossary Term Usage](#) | See Topic(s): [944](#)

The periodic expected changes in the net closed block liability (on the basis of generally accepted accounting principles [GAAP]), which is after the elimination of the effect of applicable items of other comprehensive income. The amortization of deferred acquisition costs is not a component of the actuarial calculation because deferred acquisition costs are not a closed block asset.

Actuarial Calculation Date

[Glossary Term Usage](#) | See Topic(s): [944](#)

The date as of which the actuarial calculation is performed, which is as of the date of demutualization or formation of a mutual insurance holding entity.

Actuarial Cost Method

[Glossary Term Usage](#) | See Topic(s): [960](#)

A recognized actuarial technique used for establishing the amount and incidence of employer contributions or accounting charges for pension cost under a pension plan.

Actuarial Funding Method

[Glossary Term Usage](#) | See Topic(s):

Any of several techniques that actuaries use in determining the amounts and incidence of employer contributions to provide for pension benefits.

Actuarial Gain or Loss

NO INCOMING LINKS

See [Gain or Loss](#).

Actuarial Present Value

[Glossary Term Usage](#) | See Topic(s): [715](#)

The value, as of a specified date, of an amount or series of amounts payable or receivable thereafter, with each amount adjusted to reflect the time value of money (through discounts for interest) and the probability of payment (by means of decrements for events such as death, disability, withdrawal, or retirement) between the specified date and the expected date of payment.

Actuarial Present Value of Accumulated Plan Benefits

[Glossary Term Usage](#) | See Topic(s): [960](#)

The amount as of a benefit information date that results from applying actuarial assumptions to the benefit amounts determined pursuant to paragraphs [960-20-25-3 through 25-5](#) (that is, the [accumulated plan benefits](#)), with the actuarial assumptions being used to adjust those amounts to reflect the time value of money (through discounts for interest) and the probability of payment (by means of decrements such as for death, disability, withdrawal, or retirement) between the benefit information date and the expected date of payment.

ADC Arrangements

NO INCOMING LINKS

See

[Acquisition, Development, and Construction Arrangements](#)

Adequate Compensation

[Glossary Term Usage](#) | See Topic(s): [860](#)

The amount of benefits of servicing that would fairly compensate a substitute servicer should one be required, which includes the profit that would be demanded in the marketplace. It is the amount demanded by the marketplace to perform the specific type of servicing. Adequate compensation is determined by the marketplace; it does not vary according to the specific servicing costs of the servicer.

Administrative Expenses

[Glossary Term Usage](#) | See Topic(s): [852](#)

[Claims](#) that receive priority over all other unsecured claims in a bankruptcy case. Administrative expenses (sometimes referred to as administrative claims) include the actual, necessary costs and expenses of preserving the estate, including wages, salaries, or commissions for services rendered after the commencement of the case. Fees paid to professionals for services rendered after the petition is filed are considered administrative expenses.

Administrative Service Arrangement

[Glossary Term Usage](#) | See Topic(s): [965](#)

In an administrative service arrangement, the plan retains the full obligation for plan benefits. The plan may engage an insurance entity or other third party to act as the plan administrator. The administrator makes all benefit payments, charges the plan for those payments, and collects a fee for the services provided.

Advance Payments

[Glossary Term Usage](#) | See Topic(s): [912](#)

Government advances of cash as a revolving fund or against the final payment due under an agreement.

Advance Refunding

[Glossary Term Usage](#) | See Topic(s): [842](#) , [954](#)

A transaction involving the issuance of new debt to replace existing debt with the proceeds from the new debt placed in trust or otherwise restricted to retire the existing debt at a determinable future date or dates.

Advance Royalty

[Glossary Term Usage](#) | See Topic(s): [928](#)

An amount paid to music publishers, record producers, songwriters, or other artists in advance of their earning royalties from record or music sales. Such an amount is based on contractual terms and is generally nonrefundable.

Advances

[Glossary Term Usage](#) | See Topic(s): [905](#)

Generally used in marketing and pooling cooperatives to denote amounts paid to patrons before final settlement; for example, amounts paid to patrons on delivery of crops.

Affiliate

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [850](#) , [860](#) , [946](#) , [954](#) , [958](#)

A party that, directly or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with an entity. See [Control](#).

Definition 2 | SEC Definition | [Glossary Term Usage](#) | See Topic(s): [946](#)

See paragraph [946-10-S99-2](#), Regulation S-X Rule 6-02(a), for the definition of affiliate.

Affiliated Entity

[Glossary Term Usage](#) | See Topic(s): [948](#)

An entity that directly or indirectly controls, is controlled by, or is under common control with another entity; also, a party with which the entity may deal if one party has the ability to exercise significant influence over the other's operating and financial policies as discussed in Section [323-10-15](#).

Agency Transaction

[Glossary Term Usage](#) | See Topic(s): [958](#)

A type of exchange transaction in which the reporting entity acts as an [agent](#), [trustee](#), or [intermediary](#) for another party that may be a donor or donee.

Agent

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [860](#) , [958](#)

A party that acts for and on behalf of another party. For example, a third-party intermediary is an agent of the transferor if it acts on behalf of the transferor.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [958](#)

An entity that acts for and on behalf of another. Although the term agency has a legal definition, the term is used broadly to encompass not only legal agency, but also the relationships described in Topic 958. A recipient entity acts as an agent for and on behalf of a donor if it receives assets from the donor and agrees to use those assets on behalf of or transfer those assets, the return on investment of those assets, or both to a specified beneficiary. A recipient entity acts as an agent for and on behalf of a beneficiary if it agrees to solicit assets from potential donors specifically for the beneficiary's use and to distribute those assets to the beneficiary. A recipient entity also acts as an agent if a beneficiary can compel the recipient entity to make distributions to it or on its behalf.

Agricultural Cooperative

[Glossary Term Usage](#) | See Topic(s): 905

The Agricultural Marketing Act of 1929 defines a cooperative association as any association in which farmers act together in processing, preparing for market, handling, and/or marketing the farm products of persons so engaged, and also means any association in which farmers act together in purchasing, testing, grading, processing, distributing, and/or furnishing farm supplies and/or farm business services. Provided, however, that such associations are operated for producers or purchasers and conform to one or both of the following requirements:

- a. No [member of an agricultural cooperative](#) association is allowed more than one vote because of the amount of stock or membership capital he may own therein.
- b. The association does not pay dividends on stock or membership capital in excess of 8 percent per year.

In addition to meeting either of the requirements in this paragraph, the association shall not deal in farm products, farm supplies, and farm business services with or for [nonmembers of an agricultural cooperative](#) in an amount greater in value than the total amount of such business transacted by it with or for members. All business transacted by any cooperative association for or on behalf of the United States or any agency or instrumentality thereof shall be disregarded in determining the volume of member and nonmember business transacted by such association.

Agricultural Producers

[Glossary Term Usage](#) | See Topic(s): 905

Farmers and ranchers including, for example, those who raise crops from seeds or seedlings, breed livestock (whether registered or commercial), and feed livestock in preparation for slaughter.

Air Carrier

[Glossary Term Usage](#) | See Topic(s): 908

Any entity that undertakes, whether directly or indirectly or by a lease or any other arrangement, to engage in air transportation.

Airframe

[Glossary Term Usage](#) | See Topic(s): 908

The structure of an aircraft, excluding engines and accessories. The principal parts of the airframe of an airplane include the fuselage (the body), wings, empennage (the assembly of stabilizing and control surfaces at the tail), landing gear, and nacelles or pods (engine housings).

Airframe Modifications

[Glossary Term Usage](#) | See Topic(s): [908](#)

Modifications made to interior configurations of certain aircraft types—including the reconfiguration and replacement of seats, galley equipment, and storage space.

Airworthiness

[Glossary Term Usage](#) | See Topic(s): [908](#)

The ability of a particular aircraft or component part to perform its function satisfactorily through a range of operations determined by the Federal Aviation Administration.

All-in-One Hedge

[Glossary Term Usage](#) | See Topic(s): [815](#) , [980](#)

In an all-in-one hedge, a derivative instrument that will involve gross settlement is designated as the hedging instrument in a cash flow hedge of the variability of the consideration to be paid or received in the forecasted transaction that will occur upon gross settlement of the derivative instrument itself.

Allocated Contract

[Glossary Term Usage](#) | See Topic(s):

A contract with an insurance entity under which payments to the insurance entity are currently used to purchase immediate or deferred annuities for individual participants. See [Annuity Contract](#).

Allocated Shares

[Glossary Term Usage](#) | See Topic(s): [718](#)

Allocated shares are shares in an employee stock ownership plan trust that have been assigned to individual participant accounts based on a known formula. Internal Revenue Service (IRS) rules require allocations to be nondiscriminatory generally based on compensation, length of service, or a combination of both. For any particular participant such shares may be vested, unvested, or partially vested.

Allowable Costs

[Glossary Term Usage](#) | See Topic(s): [980](#)

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

Allowance for Funds Used during Construction

[Glossary Term Usage](#) | See Topic(s): [980](#)

The cost of financing construction as financed partially by borrowings and partially by equity, capitalized as part of the cost of plant and equipment pursuant to requirements of the regulator.

Allowed Claim

[Glossary Term Usage](#) | See Topic(s): [852](#)

The amount allowed by the [Bankruptcy Court](#) as a claim against the estate. This amount may differ from the actual settlement amount.

Alternative Minimum Tax

[Glossary Term Usage](#) | See Topic(s): [740](#)

A tax that results from the use of an alternate determination of a corporation's federal income tax liability under provisions of the U.S. Internal Revenue Code.

Amenities

[Glossary Term Usage](#) | See Topic(s): [970](#) , [978](#)

Features that enhance the attractiveness or perceived value of a time-sharing interval. Examples of amenities include golf courses, utility plants, clubhouses, swimming pools, tennis courts, indoor recreational facilities, and parking facilities. See also [Promised Amenities](#).

Amortization

[Glossary Term Usage](#) | See Topic(s): [715](#)

The process of reducing a recognized liability systematically by recognizing gains or by reducing a recognized asset systematically by recognizing losses. In accounting for pension benefits or other postretirement benefits, amortization also means the systematic recognition in net periodic pension cost or other postretirement benefit cost over several periods of amounts previously recognized in other comprehensive income, that is, gains or losses, prior service cost or credits, and any transition obligation or asset.

Amortized Cost

NO INCOMING LINKS

The sum of the initial investment less cash collected less write-downs plus yield accreted to date.

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Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)
[Glossary term superseded by Accounting Standards Update No. 2025-12.](#)

Amortized Cost Basis

[Glossary Term Usage](#) | See Topic(s): [310](#) , [320](#) , [326](#) , [470](#)

The amortized cost basis is the amount at which a financing receivable or investment is originated or acquired, adjusted for applicable accrued interest, accretion, or amortization of premium, discount, and net deferred fees or costs, collection of cash, writeoffs, foreign exchange, and fair value hedge accounting adjustments.

AMT

NO INCOMING LINKS

See [Alternative Minimum Tax](#).

Analogous Reservoir

[Glossary Term Usage](#) | See Topic(s):

Analogous reservoirs, as used in [resources](#) assessments, have similar rock and fluid properties, reservoir conditions (depth, temperature, and pressure), and drive mechanisms, but are typically at a more advanced stage of development than the reservoir of interest and thus may provide concepts to assist in the interpretation of more limited data and estimation of recovery. When used to support proved reserves, *analogous reservoir* refers to a reservoir that shares all of the following characteristics with the reservoir of interest:

- a. Same geological formation (but not necessarily in pressure communication with the reservoir of interest)
- b. Same environment of deposition
- c. Similar geological structure

d. Same drive mechanism.

Reservoir properties must, in the aggregate, be no more favorable in the analog than in the reservoir of interest.

Annual Policyholder Dividends

[Glossary Term Usage](#) | See Topic(s): [944](#)

Amount of dividends to policyholders calculated and paid each year, representing the policyholders' share of divisible surplus.

Annuitization

[Glossary Term Usage](#) | See Topic(s): [815](#) , [944](#)

Annuitization refers to the policyholder receiving periodic payments under various payment options, including their remaining life or for a term-certain period.

Annuity Contract

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [715](#)

A contract in which an insurance entity unconditionally undertakes a legal obligation to provide specified pension benefits to specific individuals in return for a fixed consideration or premium. An annuity contract is irrevocable and involves the transfer of significant risk from the employer to the insurance entity. Annuity contracts are also called [allocated contracts](#).

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

A contract that provides fixed or variable periodic payments made from a stated or contingent date and continuing for a specified period, such as for a number of years or for life.

Annuity Trust

[Glossary Term Usage](#) | See Topic(s): [958](#)

See [Charitable Remainder Trust](#).

Antidilution

[Glossary Term Usage](#) | See Topic(s): [260](#)

An increase in earnings per share amounts or a decrease in loss per share amounts.

Applicable Statutory Federal Income Tax Rate

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [740](#)

See paragraph [740-10-S99-1](#), SAB Topic 6.I.1, Question 2, for the definition of applicable statutory Federal income tax rate.

Assessment Entities

[Glossary Term Usage](#) | See Topic(s): [944](#)

An insurance entity that sells insurance to groups with similar interests, such as church denominations or professional groups. Some assessment entities also sell insurance directly to the general public. If funds are not sufficient to pay claims, then assessments may be made against members.

Asset Group

[Glossary Term Usage](#) | See Topic(s): [360](#)

An asset group is the unit of accounting for a long-lived asset or assets to be held and used, which represents the lowest level for which identifiable cash flows are largely independent of the cash flows of other groups of assets and liabilities.

Asset Retirement Cost

[Glossary Term Usage](#) | See Topic(s): [410](#)

The amount capitalized that increases the carrying amount of the long-lived asset when a liability for an asset retirement obligation is recognized.

Asset Retirement Obligation

[Glossary Term Usage](#) | See Topic(s): [220](#) , [410](#)

An obligation associated with the retirement of a tangible long-lived asset.

Assigned Amounts

[Glossary Term Usage](#) | See Topic(s): [905](#)

Amounts used to record products delivered by patrons of a marketing cooperative operating on a pooling basis, and the related liability to patrons if the ultimate amounts to be paid to patrons are determined when the pool is closed. These amounts may be established on the basis of current prices paid by other buyers (sometimes referred to as field prices), or they may be established by the cooperative's board of directors. The assigned amounts are sometimes referred to as established values.

Associate

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [942](#)

See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e)(4), for the definition of associate for the purpose of Regulation S-X Rule 9-03.

Association

[Glossary Term Usage](#) | See Topic(s): [972](#)

An organization of unit owners responsible for the operation, administration, and management of the [common property](#). Generally, a not-for-profit corporation with membership of all owners.

Assumed per Capita Claims Cost (by Age)

[Glossary Term Usage](#) | See Topic(s): [715](#)

The annual per capita cost, for periods after the measurement date, of providing the postretirement health care benefits covered by the plan from the earliest age at which an individual could begin to receive benefits under the plan through the remainder of the individual's life or the covered period, if shorter. To determine the assumed per capita claims cost, the per capita claims cost by age based on historical claims costs is adjusted for assumed health care cost trend rates. The resulting assumed per capita claims cost by age reflects expected future costs and is applied with the plan demographics to determine the amount and timing of future gross eligible charges. See [Gross Eligible Charges](#) and [Per Capita Claims Cost \(by Age\)](#).

Assuming Entity

[Glossary Term Usage](#) | See Topic(s): [340](#)

The party that receives a reinsurance premium in a reinsurance transaction. The assuming entity (or reinsurer) accepts an obligation to reimburse a ceding entity under the terms of the reinsurance contract.

Assumptions

[Glossary Term Usage](#) | See Topic(s): [715](#)

Estimates of the occurrence of future events affecting pension costs and other postretirement benefit costs (as applicable), such as turnover, retirement age, mortality, withdrawal, disablement, dependency status, per capita claims costs by age, health care cost trend rates, levels of Medicare and other health care providers' reimbursements, changes in compensation and national pension benefits, and discount rates to reflect the time value of money.

Asymmetrical Default Provision

[Glossary Term Usage](#) | See Topic(s): [815](#)

A nonperformance penalty provision that requires the defaulting party to compensate the nondefaulting party for any loss incurred but does not allow the defaulting party to receive the effect of favorable price changes.

Attached Call Option

[Glossary Term Usage](#) | See Topic(s): [860](#)

A call option held by the transferor of a financial asset that becomes part of and is traded with the underlying instrument. Rather than being an obligation of the transferee, an attached call option is traded with and diminishes the value of the underlying instrument transferred subject to that call option.

Attorney-in-Fact

[Glossary Term Usage](#) | See Topic(s):

An attorney authorized by a person to act in that person's behalf.

Attribute

[Glossary Term Usage](#) | See Topic(s): [830](#)

The quantifiable characteristic of an item that is measured for accounting purposes. For example, historical cost and current cost are attributes of an asset.

Attribution

[Glossary Term Usage](#) | See Topic(s): [715](#)

The process of assigning pension or other postretirement benefits or costs to periods of employee service.

Attribution Period

[Glossary Term Usage](#) | See Topic(s): [715](#)

The period of an employee's service to which the expected postretirement benefit obligation for that employee is assigned. The beginning of the attribution period is the employee's date of hire unless the plan's benefit formula grants credit only for service from a later date, in which case the beginning of the attribution period is generally the beginning of that credited service period. The end of the attribution period is the full eligibility date. Within the attribution period, an equal amount of the expected postretirement benefit obligation is attributed to each year of service unless the plan's benefit formula attributes a disproportionate share of the expected postretirement benefit obligation to employees' early years of service. In that case, benefits are attributed in accordance with the plan's benefit formula. See [Credited Service Period](#).

Auction Rate Notes

[Glossary Term Usage](#) | See Topic(s): [815](#)

Auction rate notes are notes that generally have long-term nominal maturities and interest rates that reset periodically through a Dutch auction process, typically every 7, 28, or 35 days. At an auction, existing holders of auction rate notes and potential buyers enter a competitive bidding process through a broker-dealer, specifying the number of shares (units) to purchase with the lowest interest rate they are willing to accept. Generally, the lowest bid rate at which all shares can be sold at the notes' par value establishes the interest rate (also known as the clearing rate) to be applied until the next auction.

Automatic Stay Provisions

[Glossary Term Usage](#) | See Topic(s): [852](#)

Provisions causing the filing of a petition under the [Bankruptcy Code](#) to automatically stay virtually all actions of creditors to collect prepetition debts. As a result of the stay, no party, with minor exceptions, having a security or adverse interest in the debtor's property can take any action that will interfere with the debtor or the debtor's property, regardless of where the property is located or who has possession, until the stay is modified or removed.

Available-for-Sale Securities

[Glossary Term Usage](#) | See Topic(s): [220](#) , [320](#) , [326](#)

Investments not classified as either trading securities or as held-to-maturity securities.

Award

[Glossary Term Usage](#) | See Topic(s): [606](#) , [718](#)

The collective noun for multiple instruments with the same terms and conditions granted at the same time either to a single grantee or to a group of grantees. An award may specify multiple vesting dates, referred to as graded vesting, and different parts of an award may have different expected terms. References to an award also apply to a portion of an award.

B

Baby Bonds



[Glossary Term Usage](#) | See Topic(s): [946](#)

See [Payment-in-Kind Bonds](#).

Back-End Load



NO INCOMING LINKS

See [Contingent-Deferred Sales Load](#).

Backplant



[Glossary Term Usage](#) | See Topic(s): [950](#)

A title plant that antedates the period covered by its existing title plant.

Balance Sheets



SEC Definition | [Glossary Term Usage](#) | See Topic(s): [946](#)

See paragraph [946-10-S99-2](#), Regulation S-X Rule 6-02(c), for the definition of balance sheets.

Bankruptcy Code



[Glossary Term Usage](#) | See Topic(s): [852](#) , [958](#)

A federal statute, enacted October 1, 1979, as title 11 of the United States Code by the Bankruptcy Reform Act of 1978, that applies to all cases filed on or after its enactment and that provides the basis for the current federal bankruptcy system.

Bankruptcy Court



[Glossary Term Usage](#) | See Topic(s): [852](#)

The United States Bankruptcy Court is an adjunct of the United States District Courts. Under the jurisdiction of the District Court, the Bankruptcy Court is generally responsible for cases filed under Chapters 7, 11, 12, and 13 of the Bankruptcy Code.

Bankruptcy-Remote Entity



[Glossary Term Usage](#) | See Topic(s): [860](#)

An entity that is designed to make [remote](#) the possibility that it would enter bankruptcy or other receivership.

Bargaining Cooperative



[Glossary Term Usage](#) | See Topic(s): [905](#)

A special type of service cooperative that serves its members by negotiating with processors on their behalf.

Base Contract



[Glossary Term Usage](#) | See Topic(s): [944](#)

The type of contract specified in the policy form before the addition or election of riders or other contract features. For example, for an annuity with a guaranteed-minimum-income-benefit rider, the annuity would be considered the base contract.

Base Jackpot



[Glossary Term Usage](#) | See Topic(s): [924](#)

The fixed, minimum amount of a slot machine payout for a specific combination.

Basic Earnings Per Share



[Glossary Term Usage](#) | See Topic(s): [260](#) , [815](#)

The amount of earnings for the period available to each share of common stock outstanding during the reporting period.

Benchmark Interest Rate



[Glossary Term Usage](#) | See Topic(s): [815](#) , [820](#)

A widely recognized and quoted rate in an active financial market that is broadly indicative of the overall level of interest rates attributable to high-credit-quality obligors in that market. It is a rate that is widely used in a given financial market as an underlying basis for determining the interest rates of individual financial instruments and commonly referenced in interest-rate-related transactions.

In theory, the benchmark interest rate should be a risk-free rate (that is, has no risk of default). In some markets, government borrowing rates may serve as a benchmark. In other markets, the benchmark interest rate may be an interbank offered rate.

Beneficial Interests

[Glossary Term Usage](#) | See Topic(s): [325](#) , [805](#) , [810](#) , [815](#) , [820](#) , [860](#)

Rights to receive all or portions of specified cash inflows received by a trust or other entity, including, but not limited to, all of the following:

- a. Senior and subordinated shares of interest, principal, or other cash inflows to be passed-through or paid-through
- b. Premiums due to guarantors
- c. Commercial paper obligations
- d. Residual interests, whether in the form of debt or equity.

Benefit

[Glossary Term Usage](#) | See Topic(s): [740](#) , [830](#) , [960](#)

See [Tax \(or Benefit\)](#).

Benefit Approach

NO INCOMING LINKS

A group of basic approaches to attributing pension benefits or costs to periods of employee service.

Approaches in this group assign a distinct unit of benefit to each year of credited service. The actuarial present value of that unit of benefit is computed separately and determines the cost assigned to that year. The accumulated benefits approach, benefit-compensation approach, and benefit-years-of-service approach are benefit approaches.

Benefit Formula

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [715](#)

See [Pension Benefit Formula](#).

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [715](#)

The basis for determining benefits to which participants may be entitled under a postretirement benefit plan. A plan's benefit formula specifies the years of service to be rendered, age to be attained while in service, or a

combination of both that must be met for an employee to be eligible to receive benefits under the plan. A plan's benefit formula may also define the beginning of the credited service period and the benefits earned for specific periods of service.

Benefit Information

[Glossary Term Usage](#) | See Topic(s): [960](#)

The actuarial present value of accumulated plan benefits.

Benefit Information Date

[Glossary Term Usage](#) | See Topic(s): [960](#)

The date as of which the actuarial present value of accumulated plan benefits is presented.

Benefit Period

[Glossary Term Usage](#) | See Topic(s): [944](#)

The period over which benefits are provided. The benefit period includes the periods during which the insurance entity is subject to risk from policyholder mortality and morbidity and during which the insurance entity is responsible for administration of the contract. The benefit period does not include the subsequent period over which the policyholder or beneficiary may elect to have settlement proceeds disbursed.

Benefit Security

[Glossary Term Usage](#) | See Topic(s): [960](#)

The plan's present and future ability to pay benefits when due.

Benefit-Years-of-Service Approach

[Glossary Term Usage](#) | See Topic(s): [715](#)

One of three benefit approaches. Under this approach, an equal portion of the total estimated benefit is attributed to each year of service. The actuarial present value of the benefits is derived after the benefits are attributed to the periods.

Benefits

[Glossary Term Usage](#) | See Topic(s): [715](#) , [960](#) , [962](#) , [965](#)

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

Benefits of Servicing

[Glossary Term Usage](#) | See Topic(s): [860](#)

Revenues from contractually specified servicing fees, late charges, and other ancillary sources, including float.

Bid-Ask Spread

[Glossary Term Usage](#) | See Topic(s): [815](#)

A bid-ask spread is the difference between the highest price a buyer will pay to acquire an instrument and the lowest price at which any investor will sell an instrument.

Binder Date

[Glossary Term Usage](#) | See Topic(s): [944](#)

The date a commitment to issue a policy is given.

Blackout Period

[Glossary Term Usage](#) | See Topic(s): [718](#)

A period of time during which exercise of an equity share option is contractually or legally prohibited.

Blended-Rate Loans

[Glossary Term Usage](#) | See Topic(s): [310](#)

Blended-rate loans involve lending new funds at market interest rates combined with existing loans at rates currently lower than market rates. (Those funds are not advanced under a line of credit.)

Blind Pool or Partially Blind Pool Partnerships

[Glossary Term Usage](#) | See Topic(s): [970](#)

Partnerships in which investment units are sold before some or all of the properties to be acquired are identified.

Block of New Insurance Contracts

[Glossary Term Usage](#) | See Topic(s): [944](#)

A group of insurance contracts that may be limited to contracts issued under the same plan in a particular year.

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  December 16, 2022;  December 16, 2024 | Transition Guidance: [944-40-65-2](#)

Glossary term superseded by Accounting Standards Update No. 2018-12.

Board-Contingent Plan

[Glossary Term Usage](#) | See Topic(s): [946](#)

A reimbursement 12b-1 plan that provides that, on the plan's termination, a fund's board of directors has the option, but not the requirement, to pay the distributor for any excess costs incurred by the distributor.

Board-Designated Endowment Fund

[Glossary Term Usage](#) | See Topic(s): [230](#) , [958](#)

An endowment fund created by a not-for-profit entity's (NFP's) governing board by designating a portion of its [net assets without donor restrictions](#) to be invested to provide income for a long but not necessarily specified period (sometimes called [funds functioning as endowment](#) or quasi-endowment funds). In rare circumstances, a board-designated endowment fund also can include a portion of [net assets with donor restrictions](#). For example, if an NFP is unable to spend donor-restricted contributions in the near term, then the board sometimes considers the long-term investment of these funds. See [Endowment Fund](#).

Board-Designated Net Assets

[Glossary Term Usage](#) | See Topic(s): [958](#)

[Net assets without donor restrictions](#) subject to self-imposed limits by action of the governing board. Board-designated net assets may be earmarked for future programs, investment, contingencies, purchase or construction of fixed assets, or other uses. Some governing boards may delegate designation decisions to internal management. Such designations are considered to be included in board-designated net assets.

Box Spread



[Glossary Term Usage](#) | See Topic(s): [940](#)

A combination of long calls and short puts (identical with respect to the underlying security issue, number of shares, exercise price, and expiration date) coupled with long puts and short calls (identical with respect to the underlying security issue, number of shares, exercise price, and expiration date). In boxing (coupling), the long calls and short puts with the long puts and short calls, the underlying security issue, the number of shares, and the expiration date remain identical. However, the exercise price of each combination is at a different amount.

Breeding Herds



[Glossary Term Usage](#) | See Topic(s): [905](#)

Breeding herds consist of mature and immature male and female animals, either of registered or commercial grade, that are maintained for their progeny.

Broadcaster



[Glossary Term Usage](#) | See Topic(s): [920](#)

An entity or an affiliated group of entities that transmits radio or television program material.

Broker-Assisted Cashless Exercise



[Glossary Term Usage](#) | See Topic(s): [718](#)

The simultaneous exercise by a grantee of a share option and sale of the shares through a broker (commonly referred to as a broker-assisted exercise).

Generally, under this method of exercise:

- a. The grantee authorizes the exercise of an option and the immediate sale of the option shares in the open market.
- b. On the same day, the entity notifies the broker of the sale order.
- c. The broker executes the sale and notifies the entity of the sales price.
- d. The entity determines the minimum statutory tax-withholding requirements.
- e. By the settlement day (generally three days later), the entity delivers the stock certificates to the broker.
- f. On the settlement day, the broker makes payment to the entity for the exercise price and the minimum statutory withholding taxes and remits the balance of the net sales proceeds to the grantee.



Brokered Market

[Glossary Term Usage](#) | See Topic(s): [820](#)

A market in which brokers attempt to match buyers with sellers but do not stand ready to trade for their own account. In other words, brokers do not use their own capital to hold an inventory of the items for which they make a market. The broker knows the prices bid and asked by the respective parties, but each party is typically unaware of another party's price requirements. Prices of completed transactions are sometimes available. Brokered markets include electronic communication networks, in which buy and sell orders are matched, and commercial and residential real estate markets.

Bunny Bonds

NO INCOMING LINKS

See [Payment-in-Kind Bonds](#).

Business

[Glossary Term Usage](#) | See Topic(s): [205](#) , [220](#) , [350](#) , [360](#) , [420](#) , [450](#) , [460](#) , [505](#) , [610](#) , [730](#) , [740](#) , [805](#) , [810](#) , [815](#) , [820](#) , [842](#) , [845](#) , [954](#) , [958](#) , [985](#)

Paragraphs [805-10-55-3A through 55-6](#) and [805-10-55-8 through 55-9](#) define what is considered a business.

Business Combination

[Glossary Term Usage](#) | See Topic(s): [220](#) , [350](#) , [805](#) , [810](#) , [820](#) , [842](#) , [958](#)

A transaction or other event in which an [acquirer](#) obtains control of one or more [businesses](#). Transactions sometimes referred to as true mergers or mergers of equals also are business combinations. See also [Acquisition by a Not-for-Profit Entity](#).

Business Interruption Insurance

[Glossary Term Usage](#) | See Topic(s): [220](#)

Insurance that provides coverage if business operations are suspended due to the loss of use of property and equipment resulting from a covered cause of loss. Business interruption insurance coverage generally provides for reimbursement of certain costs and losses incurred during the reasonable period required to rebuild, repair, or replace the damaged property.

C

Cable Television Plant

[Glossary Term Usage](#) | See Topic(s): [922](#)

The cable television plant required to render service to the subscriber includes the following equipment:

- a. Head-end. This includes the equipment used to receive signals of distant television or radio stations, whether directly from the transmitter or from a microwave relay system. It also includes the studio facilities required for operator-originated programming, if any.
- b. Cable. This consists of cable and amplifiers (which maintain the quality of the signal) covering the subscriber area, either on utility poles or underground.
- c. Drops. These consist of the hardware that provides access to the main cable, the short length of cable that brings the signal from the main cable to the subscriber's television set, and other associated hardware, which may include a trap to block particular channels.
- d. Converters and descramblers. These devices are attached to the subscriber's television sets when more than 12 channels are provided or when special services are provided, such as pay cable or 2-way communication.

Calculated Value

[Glossary Term Usage](#) | See Topic(s): [718](#)

A measure of the value of a share option or similar instrument determined by substituting the historical volatility of an appropriate industry sector index for the expected volatility of a [nonpublic entity's](#) share price in an option-pricing model.

Call Option

[Glossary Term Usage](#) | See Topic(s): [260](#) , [718](#)

A contract that allows the holder to buy a specified quantity of stock from the writer of the contract at a fixed price for a given period. See [Option](#) and [Purchased Call Option](#).

Callable Obligation

[Glossary Term Usage](#) | See Topic(s): [470](#)

An obligation is callable at a given date if the creditor has the right at that date to demand, or to give notice of its intention to demand, repayment of the obligation owed to it by the debtor.

Capacity Contract

[Glossary Term Usage](#) | See Topic(s): [815](#)

An agreement by an owner of capacity to sell the right to that capacity to another party so that it can satisfy its obligations. For example, in the electric industry, capacity (sometimes referred to as installed capacity) is the capability to deliver electric power to the electric transmission system of an operating [control area](#).

Capital Infusions



[Glossary Term Usage](#) | See Topic(s): [946](#)

Expenditures made directly to the issuer to ensure that operations are completed, thereby allowing the issuer to generate cash flows to service the debt. Such expenditures are usually nonrecurring. In certain cases, bondholders may receive additional promissory notes, or the original bond instrument may be amended to provide for repayment of the capital infusions.

Capitalization Rate



[Glossary Term Usage](#) | See Topic(s): [835](#)

Rate used to determine amount of interest to be capitalized in an accounting period.

Capitalize



[Glossary Term Usage](#) | See Topic(s): [980](#)

Capitalize is used to indicate that the cost would be recorded as the cost of an asset. That procedure is often referred to as deferring a cost, and the resulting asset is sometimes described as a deferred cost.

Captive Insurer



Definition 1 | [Glossary Term Usage](#) | See Topic(s): [715](#)

An insurance entity that does business primarily with related entities.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [715](#)

An insurance entity that does business primarily with related entities.

Career-Average-Pay Formula



[Glossary Term Usage](#) | See Topic(s): [715](#)

A benefit formula that bases benefits on the employee's compensation over the entire period of service with the employer. A career-average-pay plan is a plan with such a formula.

Carrybacks



[Glossary Term Usage](#) | See Topic(s): [740](#)

Deductions or credits that cannot be utilized on the tax return during a year that may be carried back to reduce taxable income or taxes payable in a prior year. An operating loss carryback is an excess of tax deductions over gross income in a year; a tax credit carryback is the amount by which tax credits available for utilization exceed statutory limitations. Different tax jurisdictions have different rules about whether excess deductions or credits may be carried back and the length of the carryback period.

Carryforwards



[Glossary Term Usage](#) | See Topic(s): [740](#) , [805](#) , [852](#)

Deductions or credits that cannot be utilized on the tax return during a year that may be carried forward to reduce taxable income or taxes payable in a future year. An operating loss carryforward is an excess of tax deductions over gross income in a year; a tax credit carryforward is the amount by which tax credits available for utilization exceed statutory limitations. Different tax jurisdictions have different rules about whether excess deductions or credits may be carried forward and the length of the carryforward period. The terms carryforward, operating loss carryforward, and tax credit carryforward refer to the amounts of those items, if any, reported in the tax return for the current year.

Carrying Amount



Definition 1 | [Glossary Term Usage](#) | See Topic(s): [310](#) , [470](#)

For a receivable, the face amount increased or decreased by applicable accrued interest and applicable unamortized premium, discount, finance charges, or issue costs and also an allowance for uncollectible amounts and other valuation accounts.

For a payable, the face amount increased or decreased by applicable accrued interest and applicable unamortized premium, discount, finance charges, or issue costs

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

The amount of an item as displayed in the financial statements.

Cash



[Glossary Term Usage](#) | See Topic(s): [210](#) , [230](#) , [610](#) , [860](#) , [942](#)

Consistent with common usage, cash includes not only currency on hand but demand deposits with banks or other financial institutions. Cash also includes other kinds of accounts that have the general characteristics of demand deposits in that the customer may deposit additional funds at any time and also effectively may withdraw funds at any time without prior notice or penalty. All charges and credits to those accounts are cash receipts or payments to both the entity owning the account and the bank holding it. For example, a bank's granting

of a loan by crediting the proceeds to a customer's demand deposit account is a cash payment by the bank and a cash receipt of the customer when the entry is made.

Cash Advance Method

[Glossary Term Usage](#) | See Topic(s): [905](#)

The cash advance method is a prohibited method of accounting for inventories of a marketing cooperative operating on a pooling basis. Under this method, inventories are accounted for at the amount of cash advances made to patrons. (This is sometimes referred to as the cost advance method.)

Cash Consideration

[Glossary Term Usage](#) | See Topic(s): [705](#)

Cash payments and credits that the customer can apply against trade amounts owed to the vendor. In addition, as indicated in Section [718-10-25](#), consideration in the form of share-based payment awards is recognized in the same period or periods and in the same manner (that is, capitalize versus expense) as if the entity had paid cash for the goods or services instead of paying with or using the share-based payment awards. Accordingly, guidance with respect to cash consideration is applicable to consideration that consists of equity instruments.

Cash Equivalents

[Glossary Term Usage](#) | See Topic(s): [210](#) , [230](#) , [320](#) , [610](#) , [715](#) , [830](#) , [958](#)

Cash equivalents are short-term, highly liquid investments that have both of the following characteristics:

- a. Readily convertible to known amounts of cash
- b. So near their maturity that they present insignificant risk of changes in value because of changes in interest rates.

Generally, only investments with original maturities of three months or less qualify under that definition. Original maturity means original maturity to the entity holding the investment. For example, both a three-month U.S. Treasury bill and a three-year U.S. Treasury note purchased three months from maturity qualify as cash equivalents. However, a Treasury note purchased three years ago does not become a cash equivalent when its remaining maturity is three months. Examples of items commonly considered to be cash equivalents are Treasury bills, commercial paper, money market funds, and federal funds sold (for an entity with banking operations).

Cash Flow Hedge

[Glossary Term Usage](#) | See Topic(s): [815](#)

A hedge of the exposure to variability in the cash flows of a recognized asset or liability, or of a forecasted transaction, that is attributable to a particular risk.

Cash Flows Expected at Acquisition

[Glossary Term Usage](#) | See Topic(s): [310](#)

The investor's estimate, at acquisition, of the amount and timing of undiscounted principal, interest, and other cash flows expected to be collected. This would be the investor's best estimate of cash flows, including the effect of prepayments if considered, that is used in determining the acquisition price, and, in a business combination, the investor's estimate of fair value for purposes of acquisition price assignment in accordance with Subtopic [805-20](#). One acceptable method of making this estimate is described in paragraphs [820-10-55-3F through 55-3G](#) and [820-10-55-4 through 55-20](#), which provide guidance on present value techniques.

Cash Surrender Value

[Glossary Term Usage](#) | See Topic(s): [325](#) , [944](#)

The amount of cash that may be realized by the owner of a life insurance contract or annuity contract upon discontinuance and surrender of the contract before its maturity. The cash surrender value may be different from the [policy account balance](#) due to outstanding loans (including accrued interest) and [surrender charges](#). (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Cashless Exercise

[Glossary Term Usage](#) | See Topic(s): [815](#)

See [Net Share Settlement](#).

Causes

[Glossary Term Usage](#) | See Topic(s): [958](#)

The causes, conditions, needs, or concerns that a not-for-profit entity's (NFP's) programs are designed to address.

CDSL

NO INCOMING LINKS

See [Contingent-Deferred Sales Load](#).

Cease-Use Date

[Glossary Term Usage](#) | See Topic(s): [420](#)

The date the entity ceases using the right conveyed by the contract, for example, to receive future goods or services.

Ceding Entity

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [340](#)

The party that pays a reinsurance premium in a reinsurance transaction. The ceding entity receives the right to reimbursement from the assuming entity under the terms of the reinsurance contract.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

The party that pays a reinsurance premium in a reinsurance transaction. The ceding entity receives the right to reimbursement from the assuming entity under the terms of the reinsurance contract.

Certificates

[Glossary Term Usage](#) | See Topic(s): [325](#)

An insurance entity issues to each individual in a group contract a certificate of insurance for each person insured under the group contract. The certificate is merely a summary of the rights, duties, and benefits available under a group policy. If there is any conflict between the certificate and a group policy, the group policy is the controlling document. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Change in Accounting Estimate

[Glossary Term Usage](#) | See Topic(s): [250](#) , [270](#) , [842](#)

A change that has the effect of adjusting the carrying amount of an existing asset or liability or altering the subsequent accounting for existing or future assets or liabilities. A change in accounting estimate is a necessary consequence of the assessment, in conjunction with the periodic presentation of financial statements, of the present status and expected future benefits and obligations associated with assets and liabilities. Changes in accounting estimates result from new information. Examples of items for which estimates are necessary are uncollectible receivables, inventory obsolescence, service lives and salvage values of depreciable assets, and warranty obligations.

Change in Accounting Estimate Effected by a Change in Accounting Principle

[Glossary Term Usage](#) | See Topic(s): [250](#)

A change in accounting estimate that is inseparable from the effect of a related change in accounting principle. An example of a change in estimate effected by a change in principle is a change in the method of depreciation,

amortization, or depletion for long-lived, nonfinancial assets.

Change in Accounting Principle

[Glossary Term Usage](#) | See Topic(s): [250](#) , [270](#) , [805](#)

A change from one generally accepted accounting principle to another generally accepted accounting principle when there are two or more generally accepted accounting principles that apply or when the accounting principle formerly used is no longer generally accepted. A change in the method of applying an accounting principle also is considered a change in accounting principle.

Change in the Reporting Entity

[Glossary Term Usage](#) | See Topic(s): [250](#) , [270](#)

A change that results in financial statements that, in effect, are those of a different reporting entity. A change in the reporting entity is limited mainly to the following:

- a. Presenting consolidated or combined financial statements in place of financial statements of individual entities
- b. Changing specific subsidiaries that make up the group of entities for which consolidated financial statements are presented
- c. Changing the entities included in combined financial statements.

Neither a business combination accounted for by the acquisition method nor the consolidation of a variable interest entity (VIE) pursuant to Topic [810](#) is a change in reporting entity.

Chapter 11

[Glossary Term Usage](#) | See Topic(s): [852](#) , [958](#)

A reorganization action, either voluntarily or involuntarily initiated under the provisions of the [Bankruptcy Code](#), that provides for a reorganization of the debt and equity structure of the business and allows the business to continue operations. A debtor may also file a plan of liquidation under Chapter 11.

Chapter 7

[Glossary Term Usage](#) | See Topic(s): [852](#)

A liquidation, voluntarily or involuntarily initiated under the provisions of the [Bankruptcy Code](#), that provides for liquidation of the business or the debtor's estate.

Charitable Gift Annuity

[Glossary Term Usage](#) | See Topic(s): [958](#)

A transfer of assets to a not-for-profit entity (NFP) in connection with a split-interest agreement that is in part a contribution and in part an exchange transaction. The NFP accepts the contribution and is obligated to make periodic stipulated payments to the donor or a third-party beneficiary for a specified period of time, usually either a specified number of years or until the death of the donor or third-party beneficiary.

Charitable Lead Annuity Trust



[Glossary Term Usage](#) | See Topic(s): [958](#)

A trust established in connection with a split-interest agreement, in which a not-for-profit entity (NFP) receives distributions of a fixed amount during the agreement's term. Upon termination of the trust, the remainder of the trust assets is paid to the donor or to third-party beneficiaries designated by the donor.

Charitable Lead Trust



[Glossary Term Usage](#) | See Topic(s): [958](#)

A trust established in connection with a split-interest agreement, in which a not-for-profit entity (NFP) receives distributions during the agreement's term. Upon termination of the trust, the remainder of the trust assets is paid to the donor or to third-party beneficiaries designated by the donor.

Charitable Lead Unitrust



[Glossary Term Usage](#) | See Topic(s): [958](#)

A trust established in connection with a split-interest agreement, in which a not-for-profit entity (NFP) receives distributions of a fixed percentage of the fair value of the trust's assets during the agreement's term. Upon termination of the trust, the remainder of the trust assets is paid to the donor or to third-party beneficiaries designated by the donor.

Charitable Remainder Annuity Trust



[Glossary Term Usage](#) | See Topic(s): [958](#)

A trust established in connection with a split-interest agreement, in which the donor or a third-party beneficiary receives distributions of a fixed amount during the agreement's term. Upon termination of the trust, a not-for-profit entity (NFP) receives the assets remaining in the trust.

Charitable Remainder Trust



[Glossary Term Usage](#) | See Topic(s): [958](#)

A trust established in connection with a split-interest agreement, in which the donor or a third-party beneficiary receives specified distributions during the agreement's term. Upon termination of the trust, a not-for-profit entity (NFP) receives the assets remaining in the trust.

Charitable Remainder Unitrust

[Glossary Term Usage](#) | See Topic(s): [958](#)

A trust established in connection with a split-interest agreement, in which the donor or a third-party beneficiary receives distributions of a fixed percentage of the fair value of the trust's assets during the agreement's term. Upon termination of the trust, a not-for-profit entity (NFP) receives the assets remaining in the trust.

Charity Care

[Glossary Term Usage](#) | See Topic(s): [954](#)

Charity care represents health care services that are provided but are never expected to result in cash flows. Charity care is provided to a patient with demonstrated inability to pay. Each entity establishes its own criteria for charity care consistent with its mission statement and financial ability.

Chips

[Glossary Term Usage](#) | See Topic(s): [924](#)

Money substitutes, in various denominations, issued by a gaming entity and used for wagering.

CIRA

NO INCOMING LINKS

See [Common Interest Realty Association](#).

Claim

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [852](#)

As defined by Section 101(4) of the [Bankruptcy Code](#), a right to payment, regardless of whether the right is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, legal, secured, or unsecured, or a right to an equitable remedy for breach of performance if such breach results in a right to payment, regardless of whether the right is reduced to a fixed, contingent, matured, unmatured, disputed, undisputed, secured, or unsecured right.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

A demand for payment of a policy benefit because of the occurrence of an insured event.

Claim Adjustment Expenses

[Glossary Term Usage](#) | See Topic(s): [944](#)

Expenses incurred in the course of investigating and settling claims.

Claims Stabilization Reserve

[Glossary Term Usage](#) | See Topic(s): [325](#)

The claims stabilization reserve is established through deductions from the [policy account balance](#) through the cost of insurance charge and is sometimes held in a general account (that is, an account that is intermingled with the insurance entity's assets) as opposed to a legally segregated account (sometimes referred to as a separate account). The amounts are accumulated in this account until a death benefit is paid. The death benefit represents a combination of the policy account balance and the claims stabilization reserve based on the contractual terms. The cost of insurance is recalculated periodically based on actual experience of the insured class. Annually, the claims stabilization reserve is reviewed and an experience credit may be issued back to the policyholder if the experience has been favorable. The balance in the claims stabilization reserve will be reviewed annually and to the extent the balance is greater than the forecasted or expected amount, an experience refund would get credited to the entity's policy account balance. An entity's claims stabilization reserve will generally be realized through the collection of death benefits or an experience refund that gets credited to the policyholder's policy account balance or upon surrender of the group policy. A claims stabilization reserve is included in a policy as a mechanism for the policyholder and the insurance entity to share in the mortality risk, which in this case is the risk that the deaths will occur sooner than originally expected. Absent a claims stabilization reserve, the policyholder's net cost of insurance would typically be higher than in a policy without a claims stabilization reserve. The claims stabilization reserve is sometimes referred to as a mortality reserve or a mortality retention reserve. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Class of Financing Receivable

[Glossary Term Usage](#) | See Topic(s): [310](#) , [326](#)

A group of financing receivables determined on the basis of both of the following:

- a. Risk characteristics of the financing receivable
- b. An entity's method for monitoring and assessing credit risk.

See paragraphs [326-20-55-11 through 55-14](#) and [326-20-50-3](#).

CLAT

NO INCOMING LINKS

See [Charitable Lead Annuity Trust](#).

Cleanup Call Option



[Glossary Term Usage](#) | See Topic(s): [860](#)

An option held by the servicer or its affiliate, which may be the transferor, to purchase the remaining transferred financial assets, or the remaining beneficial interests not held by the transferor, its affiliates, or its agents in an entity (or in a series of beneficial interests in transferred financial assets within an entity) if the amount of outstanding financial assets or beneficial interests falls to a level at which the cost of servicing those assets or beneficial interests becomes burdensome in relation to the benefits of servicing.

Closed Block



[Glossary Term Usage](#) | See Topic(s): [944](#)

A mechanism to preserve, over time, the reasonable dividend expectations of individual policyholders with individual life, health, or annuity policies for which dividends are currently being paid or are expected to be paid under the current dividend scale. A closed block comprises a defined, limited group of policies and a defined set of assets, and is governed by a set of operating rules.

Closed-End Funds



[Glossary Term Usage](#) | See Topic(s): [946](#)

Closed-end funds are investment companies that issue a fixed number of shares (that generally trade on an open market) to raise capital, similar to the way in which an entity sells stock in an initial public offering.

Closed-Form Model



[Glossary Term Usage](#) | See Topic(s): [718](#)

A valuation model that uses an equation to produce an estimated fair value. The Black-Scholes-Merton formula is a closed-form model. In the context of option valuation, both closed-form models and lattice models are based on risk-neutral valuation and a contingent claims framework. The payoff of a contingent claim, and thus its value, depends on the value(s) of one or more other assets. The contingent claims framework is a valuation methodology that explicitly recognizes that dependency and values the contingent claim as a function of the value of the underlying asset(s). One application of that methodology is risk-neutral valuation in which the contingent claim can be replicated by a combination of the underlying asset and a risk-free bond. If that replication is possible, the value of the contingent claim can be determined without estimating the expected returns on the underlying asset. The Black-Scholes-Merton formula is a special case of that replication.

Closure



[Glossary Term Usage](#) | See Topic(s): [410](#)

Related to the Resource Conservation and Recovery Act of 1976: the process in which the owner-operator of a hazardous waste management unit discontinues active operation of the unit by treating, removing from the site, or disposing of on site all hazardous wastes in accordance with an Environmental Protection Agency or state-approved plan. Included, for example, are the process of emptying, cleaning, and removing or filling underground storage tanks and the capping of a landfill. Closure entails specific financial guarantees and technical tasks that are included in a closure plan and must be implemented.

CLUT

NO INCOMING LINKS

See [Charitable Lead Unitrust](#).

Coding

[Glossary Term Usage](#) | See Topic(s): [985](#)

Generating detailed instructions in a computer language to carry out the requirements described in the detail program design. The coding of a computer software product may begin before, concurrent with, or after the completion of the detail program design.

Collaborative Arrangement

[Glossary Term Usage](#) | See Topic(s): [808](#)

A contractual arrangement that involves a joint operating activity (see paragraph [808-10-15-7](#)). These arrangements involve two (or more) parties that meet both of the following requirements:

- a. They are active participants in the activity (see paragraphs [808-10-15-8 through 15-9](#)).
- b. They are exposed to significant risks and rewards dependent on the commercial success of the activity (see paragraphs [808-10-15-10 through 15-13](#)).

Collateral

[Glossary Term Usage](#) | See Topic(s): [860](#)

Personal or real property in which a security interest has been given.

Collateral Split-Dollar Life Insurance

[Glossary Term Usage](#) | See Topic(s): [715](#)

A split-dollar life insurance arrangement in which the employee (or the employee's estate or a trust controlled by the employee, referred to as the employee) owns and controls the insurance policy.

Collateralized Financing Entity

[Glossary Term Usage](#) | See Topic(s): [805](#) , [810](#) , [820](#)

A [variable interest entity](#) that holds financial assets, issues [beneficial interests](#) in those financial assets, and has no more than nominal equity. The beneficial interests have contractual recourse only to the related assets of the collateralized financing entity and are classified as financial liabilities. A collateralized financing entity may hold [nonfinancial assets](#) temporarily as a result of default by the debtor on the underlying debt instruments held as assets by the collateralized financing entity or in an effort to restructure the debt instruments held as assets by the collateralized financing entity. A collateralized financing entity also may hold other financial assets and financial liabilities that are incidental to the operations of the collateralized financing entity and have carrying values that approximate fair value (for example, cash, broker receivables, or broker payables).

Collections

[Glossary Term Usage](#) | See Topic(s): [360](#) , [958](#)

Works of art, historical treasures, or similar assets that meet all of the following criteria:

- a. They are held for public exhibition, education, or research in furtherance of public service rather than financial gain.
- b. They are protected, kept unencumbered, cared for, and preserved.
- c. They are subject to an organizational policy that requires the use of proceeds from items that are sold to be for the acquisitions of new collection items, the direct care of existing collections, or both.

Collections generally are held by museums; botanical gardens; libraries; aquariums; arboretums; historic sites; planetariums; zoos; art galleries; nature, science, and technology centers; and similar educational, research, and public service organizations that have those divisions; however, the definition is not limited to those entities nor does it apply to all items held by those entities.

Combination Award

[Glossary Term Usage](#) | See Topic(s): [718](#)

An award with two or more separate components, each of which can be separately exercised. Each component of the award is actually a separate award, and compensation cost is measured and recognized for each component.

Combined Financial Statements

[Glossary Term Usage](#) | See Topic(s): [810](#) , [958](#)

The financial statements of a combined group of commonly controlled entities or commonly managed entities presented as those of a single economic entity. The combined group does not include the parent.

Commencement Date of the Lease (Commencement Date)

[Glossary Term Usage](#) | See Topic(s): [210](#) , [220](#) , [255](#) , [310](#) , [410](#) , [450](#) , [460](#) , [740](#) , [805](#) , [815](#) , [842](#)

The date on which a [lessor](#) makes an [underlying asset](#) available for use by a [lessee](#). See paragraphs [842-10-55-19](#) through [55-21](#) for implementation guidance on the commencement date.

Commercial Letter of Credit

[Glossary Term Usage](#) | See Topic(s): [460](#)

A document issued typically by a financial institution on behalf of its customer (the account party) authorizing a third party (the beneficiary), or in special cases the account party, to draw drafts on the institution up to a stipulated amount and with specified terms and conditions; it is a conditional commitment (except if prepaid by the account party) on the part of the institution to provide payment on drafts drawn in accordance with the terms of the document.

Commercial Production

[Glossary Term Usage](#) | See Topic(s): [905](#)

The point at which production from an orchard, vineyard, or grove first reaches a level that makes operations economically feasible, based on prices normally expected to prevail.

Commitment Fees

[Glossary Term Usage](#) | See Topic(s): [310](#)

Fees charged for entering into an agreement that obligates the entity to make or acquire a loan or to satisfy an obligation of the other party under a specified condition. Commitment fees include fees for letters of credit and obligations to purchase a loan or group of loans and pass-through certificates.

Committed-to-Be-Released Shares

[Glossary Term Usage](#) | See Topic(s): [718](#)

Committed-to-be-released shares are shares that, although not legally released, will be released by a future scheduled and committed debt service payment and will be allocated to employees for service rendered in the current accounting period. The period of employee service to which shares relate is generally defined in the employee stock ownership plan documents. Shares are legally released from suspense and from serving as collateral for employee stock ownership plan debt as a result of payment of debt service. Those shares are required to be allocated to participant accounts as of the end of the employee stock ownership plan's fiscal year. Formulas used to determine the number of shares released can be based on either of the following:

- a. The ratio of the current principal amount to the total original principal amount (in which case unearned employee stock ownership plan shares and debt balance will move in tandem)
- b. The ratio of the current principal plus interest amount to the total original principal plus interest to be paid.

Shares are released more rapidly under the second method than under the first. Tax law permits the first method only if the employee stock ownership plan debt meets certain criteria.

Common Costs

[Glossary Term Usage](#) | See Topic(s): [970](#) , [978](#)

Costs that relate to two or more units or phases within a real estate or time-sharing project.

Common Interest Realty Association

[Glossary Term Usage](#) | See Topic(s): [972](#)

An association, also known as a community association, responsible for the governance of the common interest community, for which it was established to serve. A common interest realty association is generally funded by its members via periodic assessments by the common interest realty association so that it can perform its duties, which include management services and maintenance, repair, and replacement of the common property, among other duties established in the governing documents and by state statute.

Common Property

[Glossary Term Usage](#) | See Topic(s): [972](#)

A common interest realty association's real or personal property to which title or other evidence of ownership is held by either:

- a. Individual members in common
- b. The common interest realty association directly.

Common Risk Characteristics

NO INCOMING LINKS

Loans with similar credit risk (for example, evidenced by similar Fair Isaac Company [FICO] scores, an automated rating process for credit reports) or risk ratings, and one or more predominant risk characteristics, such as financial asset type, collateral type, size, interest rate, date of origination, term, and geographic location.

Common Stock

[Glossary Term Usage](#) | See Topic(s): [260](#) , [323](#)

A stock that is subordinate to all other stock of the issuer. Also called common shares.

Communication Date

[Glossary Term Usage](#) | See Topic(s): [420](#)

The date the plan of termination for one-time employee termination benefits meets all of the criteria in paragraph [420-10-25-4](#) and has been communicated to employees.

Compensated Absences

[Glossary Term Usage](#) | See Topic(s): [710](#)

Employee absences, such as vacation, illness, and holidays, for which it is expected that employees will be paid.

Compensation

[Glossary Term Usage](#) | See Topic(s): [958](#)

Reciprocal transfers of cash or other assets in exchange for services performed.

Compensation Plan

[Glossary Term Usage](#) | See Topic(s): [946](#)

A plan that provides for a 12b-1 fee, payable by the fund, based on a percentage of the fund's average net assets. The 12b-1 fee may be more or less than the costs incurred by the distributor.

Completion of a Transfer

NO INCOMING LINKS

A completion of a transfer occurs for a transaction with any of the following characteristics:

- a. It satisfies the conditions in paragraph [860-10-40-5](#) to be accounted for as a sale.
- b. It is in a business combination.
- c. It is to a newly created subsidiary if the transferee has written the loan down to its fair value with the intent of transferring the stock of the subsidiary as a dividend to the shareholders of the parent entity.
- d. It is a contribution receivable or a transfer that satisfies a prior promise to give.

Component of an Entity

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[Glossary Term Usage](#) | See Topic(s): [205](#) , [320](#) , [360](#) , [715](#)

A component of an entity comprises operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity. A component of an entity may be a reportable segment or an [operating segment](#), a [reporting unit](#), a subsidiary, or an [asset group](#).

Comprehensive Income

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[Glossary Term Usage](#) | See Topic(s): [205](#) , [220](#) , [815](#) , [954](#)

The change in equity (net assets) of a business entity during a period from transactions and other events and circumstances from nonowner sources. It includes all changes in equity during a period except those resulting from investments by owners and distributions to owners. Comprehensive income comprises both of the following:

- a. All components of [net income](#)
- b. All components of [other comprehensive income](#).

Condensate

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[Glossary Term Usage](#) | See Topic(s): [932](#)

Condensate is a mixture of hydrocarbons that exists in the gaseous phase at original reservoir temperature and pressure but that when produced is in the liquid phase at surface pressure and temperature.

Condensed Statements

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[Glossary Term Usage](#) | See Topic(s): [220](#) , [270](#) , [275](#) , [280](#)

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

Financial statements that are presented at a level that is more aggregated than the annual financial statements or have limited notes subject to the disclosure requirements in Topic [270](#) or both. (U.S.)

Securities and Exchange Commission [SEC] registrants are required to consider the guidance in paragraph [270-10-S45-2](#). See Regulation S-X Rule 10-01 [17 CFR 210.10-01] and Regulation S-X Rule 8-03 [17 CFR 210.8-03].)

Conditional Asset Retirement Obligation

[Glossary Term Usage](#) | See Topic(s): [410](#)

A legal obligation to perform an asset retirement activity in which the timing and (or) method of settlement are conditional on a future event that may or may not be within the control of the entity.

Conditional Contribution

[Glossary Term Usage](#) | See Topic(s): [230](#) , [350](#) , [720](#) , [954](#) , [958](#)

A contribution that contains a [donor-imposed condition](#).

Conditional Promise to Give

[Glossary Term Usage](#) | See Topic(s): [958](#)

A promise to give that is subject to a [donor-imposed condition](#).

Condominium

[Glossary Term Usage](#) | See Topic(s): [972](#)

A form of ownership of real property that combines exclusive ownership of a defined space and an undivided interest in the common elements. (Also referred to as a condo.) A common interest realty association is not a condominium unless the undivided interests in the common elements are vested in the unit owners.

Conduit Debt Securities

[Glossary Term Usage](#) | See Topic(s): [105](#) , [220](#) , [280](#) , [360](#) , [405](#) , [715](#) , [805](#) , [820](#) , [830](#) , [855](#) , [954](#) , [958](#)

Certain limited-obligation revenue bonds, certificates of participation, or similar debt instruments issued by a state or local governmental entity for the express purpose of providing financing for a specific third party (the conduit bond obligor) that is not a part of the state or local government's financial reporting entity. Although conduit debt securities bear the name of the governmental entity that issues them, the governmental entity often has no obligation for such debt beyond the resources provided by a lease or loan agreement with the third party

on whose behalf the securities are issued. Further, the conduit bond obligor is responsible for any future financial reporting requirements.

Confirmed Plan

[Glossary Term Usage](#) | See Topic(s): [852](#)

An official approval by the court of a plan of reorganization under a [Chapter 11](#) proceeding that makes the plan binding on the debtors and creditors. Before a plan is confirmed, it must satisfy 11 requirements in section 1129(a) of the [Bankruptcy Code](#).

Consent Decree

[Glossary Term Usage](#) | See Topic(s): [410](#)

A legal document, approved by a judge, that formalizes an agreement reached between the Environmental Protection Agency and potentially responsible parties through which potentially responsible parties will conduct all or part of a remedial action at a Superfund site; cease or correct actions or processes that are polluting the environment; or otherwise comply with regulations where potentially responsible parties' failure to comply caused the Environmental Protection Agency to initiate regulatory enforcement actions. The consent decree describes the actions potentially responsible parties will take and may be subject to a public comment period.

Consenting Classes

[Glossary Term Usage](#) | See Topic(s): [852](#)

Classes of creditors or stockholders that approve the proposed plan.

Consideration in the Contract

[Glossary Term Usage](#) | See Topic(s): [842](#)

See paragraph [842-10-15-35](#) for what constitutes the consideration in the [contract](#) for [lessees](#) and paragraph [842-10-15-39](#) for what constitutes consideration in the contract for [lessors](#).

Consolidated Affiliate

[Glossary Term Usage](#) | See Topic(s): [860](#)

An entity whose assets and liabilities are included in the consolidated, combined, or other financial statements being presented.

Consolidated Financial Statements

[Glossary Term Usage](#) | See Topic(s): [260](#) , [740](#) , [810](#) , [932](#) , [942](#)

The financial statements of a consolidated group of entities that include a parent and all its subsidiaries presented as those of a single economic entity.

Consolidated Group

[Glossary Term Usage](#) | See Topic(s): [260](#) , [810](#)

A parent and all its subsidiaries.

Consolidation

[Glossary Term Usage](#) | See Topic(s): [958](#)

The presentation of a single set of amounts for an entire reporting entity. Consolidation requires elimination of intra-entity transactions and balances.

Consumer Price Index for All Urban Consumers

[Glossary Term Usage](#) | See Topic(s): [255](#)

An index of price level changes affecting consumers generally, often used to measure changes in the general purchasing power of the monetary unit itself.

Contingency

[Glossary Term Usage](#) | See Topic(s): [450](#) , [460](#) , [805](#)

An existing condition, situation, or set of circumstances involving uncertainty as to possible gain ([gain contingency](#)) or loss ([loss contingency](#)) to an entity that will ultimately be resolved when one or more future events occur or fail to occur.

Contingent Consideration

[Glossary Term Usage](#) | See Topic(s): [805](#) , [958](#)

Usually an obligation of the [acquirer](#) to transfer additional assets or [equity interests](#) to the former [owners](#) of an [acquiree](#) as part of the exchange for [control](#) of the acquiree if specified future events occur or conditions are

met. However, contingent consideration also may give the acquirer the right to the return of previously transferred consideration if specified conditions are met.

Contingent Issuance

[Glossary Term Usage](#) | See Topic(s): [260](#)

A possible issuance of shares of common stock that is dependent on the satisfaction of certain conditions.

Contingent Stock Agreement

[Glossary Term Usage](#) | See Topic(s): [260](#)

An agreement to issue common stock (usually in connection with a business combination) that is dependent on the satisfaction of certain conditions. See [Contingently Issuable Shares](#).

Contingent-Deferred Sales Load

[Glossary Term Usage](#) | See Topic(s): [946](#)

A sales charge imposed directly on redeeming shareholders based on a percentage of the lesser of the redemption proceeds or original cost. The percentage may decrease or be eliminated based on the duration of share ownership (frequently decreases by 1 percent a year). Also referred to as back-end load.

Contingently Convertible Instruments

[Glossary Term Usage](#) | See Topic(s): [260](#) , [470](#) , [505](#)

Contingently convertible instruments are instruments that have embedded conversion features that are contingently convertible or exercisable based on either of the following:

- a. A market price trigger
- b. Multiple contingencies if one of the contingencies is a market price trigger and the instrument can be converted or share settled based on meeting the specified market condition.

A market price trigger is a market condition that is based at least in part on the issuer's own share price. Examples of contingently convertible instruments include contingently convertible debt, contingently convertible preferred stock, and the instrument described by paragraph [260-10-45-43](#), all with embedded market price triggers.

Contingently Issuable Shares

[Glossary Term Usage](#) | See Topic(s): [260](#)

Shares issuable for little or no cash consideration upon the satisfaction of certain conditions pursuant to a contingent stock agreement. Also called contingently issuable stock. See [Contingent Stock Agreement](#).

Continuing Franchise Fees

[Glossary Term Usage](#) | See Topic(s): [952](#)

Consideration for the continuing rights granted by the franchise agreement and for general or specific services during its life.

Continuing Involvement

[Glossary Term Usage](#) | See Topic(s): [860](#)

Any involvement with the transferred [financial assets](#) that permits the [transferor](#) to receive cash flows or other benefits that arise from the transferred financial assets or that obligates the transferor to provide additional cash flows or other assets to any party related to the [transfer](#). For related implementation guidance, see paragraph [860-10-55-79A](#).

Contract

[Glossary Term Usage](#) | See Topic(s): [210](#) , [220](#) , [230](#) , [235](#) , [255](#) , [270](#) , [275](#) , [310](#) , [326](#) , [340](#) , [350](#) , [360](#) , [410](#) , [420](#) , [430](#) , [440](#) , [450](#) , [460](#) , [470](#) , [605](#) , [606](#) , [610](#) , [705](#) , [718](#) , [720](#) , [740](#) , [805](#) , [808](#) , [810](#) , [815](#) , [820](#) , [835](#) , [842](#) , [845](#) , [860](#) , [910](#) , [912](#) , [926](#) , [932](#) , [940](#) , [950](#) , [952](#) , [954](#) , [958](#) , [970](#) , [974](#) , [978](#) , [980](#) , [985](#)

An agreement between two or more parties that creates enforceable rights and obligations.

Contract Asset

[Glossary Term Usage](#) | See Topic(s): [270](#) , [326](#) , [606](#) , [610](#) , [740](#) , [805](#) , [835](#) , [912](#) , [954](#)

An entity's right to consideration in exchange for goods or services that the entity has transferred to a [customer](#) when that right is conditioned on something other than the passage of time (for example, the entity's future performance).

Contract Exchange

[Glossary Term Usage](#) | See Topic(s): [944](#)

The legal extinguishment of one contract and the issuance of another.

Contract Liability



[Glossary Term Usage](#) | See Topic(s): [270](#) , [430](#) , [605](#) , [606](#) , [610](#) , [805](#) , [835](#) , [954](#)

An entity's obligation to transfer goods or services to a [customer](#) for which the entity has received consideration (or the amount is due) from the customer.

Contract Period



[Glossary Term Usage](#) | See Topic(s): [944](#)

The period over which insured events that occur are covered by insurance or reinsurance contracts. Commonly referred to as the coverage period or period that the contracts are in force.

Contract Rate



[Glossary Term Usage](#) | See Topic(s): [944](#)

The rate of interest that accrues to policyholder balances.

Contract Value



[Glossary Term Usage](#) | See Topic(s): [960](#)

The value of an [unallocated contract](#) that is determined by the insurance entity in accordance with the terms of the contract.

Contract Value of a Fully Benefit-Responsive Investment Contract



[Glossary Term Usage](#) | See Topic(s): [965](#)

The contract value of a fully benefit-responsive investment contract held by a defined contribution health and welfare benefit plan is the amount a participant would receive if he or she were to initiate transactions under the terms of the ongoing plan.

Contract-for-Deed



NO INCOMING LINKS

A purchase contract by which the seller agrees at some future point, when the purchaser has paid a specified portion of the price of the time-sharing interval, to convey title to the purchaser. The transfer of title may not be dependent on other factors or contingencies.

Contractor

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[Glossary Term Usage](#) | See Topic(s): [605](#)

A person or entity that enters into a contract to construct facilities, produce goods, or render services to the specifications of a buyer either as a general or prime contractor, as a subcontractor to a general contractor, or as a construction manager.

Contractually Required Payments Receivable

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NO INCOMING LINKS

The total undiscounted amount of all uncollected contractual principal and contractual interest payments both past due and scheduled for the future, adjusted for the timing of prepayments, if considered, less any reduction by the investor. For an acquired asset-backed security with required contractual payments of principal and interest, the contractually required payments receivable is represented by the contractual terms of the security. However, when contractual payments of principal and interest are not specified by the security, it is necessary to consider the contractual terms of the underlying loans or assets.

Contractually Specified Component

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[Glossary Term Usage](#) | See Topic(s): [815](#)

An index or price explicitly referenced in an agreement to purchase or sell a nonfinancial asset other than an index or price calculated or measured solely by reference to an entity's own operations.

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2027 | **Transition Guidance:** [815-20-65-7](#)

[Glossary term superseded by Accounting Standards Update No. 2025-09.](#)

Contractually Specified Servicing Fees

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[Glossary Term Usage](#) | See Topic(s): [860](#)

All amounts that, per contract, are due to the servicer in exchange for servicing the financial asset and would no longer be received by a servicer if the beneficial owners of the serviced assets (or their trustees or agents) were to exercise their actual or potential authority under the contract to shift the servicing to another servicer. Depending on the servicing contract, those fees may include some or all of the difference between the interest rate collectible on the financial asset being serviced and the rate to be paid to the beneficial owners of those financial assets.

Contribution



[Glossary Term Usage](#) | See Topic(s): [230](#) , [350](#) , [720](#) , [954](#) , [958](#)

An unconditional transfer of cash or other assets, as well as [unconditional promises to give](#), to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

- a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value
- b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners
- c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also [Inherent Contribution](#) and [Conditional Contribution](#).

Contributions Receivable



[Glossary Term Usage](#) | See Topic(s): [958](#) , [962](#) , [965](#)

Contributions receivable are the amounts due, as of the date of the financial statements, to the plan from employers, participants, and other sources of funding (for example, state subsidies or federal grants). They include amounts due pursuant to firm commitments, as well as legal or contractual requirements.

Contributory Plan



[Glossary Term Usage](#) | See Topic(s): [715](#) , [960](#) , [965](#)

A plan under which retirees or active employees contribute part of the cost. In some contributory plans, retirees or active employees wishing to be covered must contribute; in other contributory plans, participants' contributions result in increased benefits.

Control



[Glossary Term Usage](#) | See Topic(s): [310](#) , [850](#)

The possession, direct or indirect, of the power to direct or cause the direction of the management and policies of an entity through ownership, by contract, or otherwise.



Control

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [954](#) , [958](#)

The direct or indirect ability to determine the direction of management and policies through ownership, contract, or otherwise.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [805](#)

The same as the meaning of controlling financial interest in paragraph [810-10-15-8](#).

Control Area

[Glossary Term Usage](#) | See Topic(s):

A control area requires entities that serve load within the control area to demonstrate ownership or contractual rights to capacity sufficient to serve that load at time of peak demand and to provide a reserve margin to protect the integrity of the system against potential generating unit outages in the control area. A control area is a portion of the electric grid that schedules, dispatches, and controls generating resources to serve area load (ultimate users of electricity) and coordinates scheduling of the flow of electric power over the transmission system to neighboring control areas.

Control of a Not-for-Profit Entity

[Glossary Term Usage](#) | See Topic(s): [805](#) , [954](#) , [958](#)

See [Control](#).

Controlled Amortization Method

[Glossary Term Usage](#) | See Topic(s): [860](#)

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which a predetermined monthly payment schedule is established so that payout to the investors will occur over a specified liquidation period. Principal payments are allocated to the investors based on their participation interests in the receivables in the trust, using one of the liquidation methods (fixed, preset, or floating). Principal payments in excess of the predetermined monthly payment, if any, are allocated to the transferor and increase the investors' ownership interests. If the principal payments allocated to the investors are insufficient to cover the predetermined monthly payment, that payment is reduced by the amount of the deficiency. If the principal payments allocated to the investors in subsequent months exceed the predetermined monthly payment, the deficiency is recovered.

Conversion

[Glossary Term Usage](#) | See Topic(s): [830](#)

The exchange of one currency for another.

Conversion Rate

[Glossary Term Usage](#) | See Topic(s): [260](#)

The ratio of the number of common shares issuable upon conversion to a unit of a convertible security. For example, \$100 face value of debt convertible into 5 shares of common stock would have a conversion ratio of 5:1. Also called conversion ratio.

Convertible Security

[Glossary Term Usage](#) | See Topic(s): [260](#) , [470](#) , [505](#) , [718](#) , [815](#)

A security that is convertible into another security based on a conversion rate. For example, convertible preferred stock that is convertible into common stock on a two-for-one basis (two shares of common for each share of preferred).

Cooperative Housing Corporation

[Glossary Term Usage](#) | See Topic(s): [972](#)

Also referred to as a coop, a cooperative housing corporation is an entity established as a corporation that owns the real estate, usually a multi-unit dwelling, and all improvements on it and is responsible for its maintenance and payment of debt service. Ownership in the corporation is evidenced by shares of stock owned by tenant-shareholders who are entitled to occupy a unit under a proprietary lease. The individual ownership interests in most cooperatives are structured as personal property interests, but some are structured as real property interests.

Corporate Joint Venture

[Glossary Term Usage](#) | See Topic(s): [205](#) , [220](#) , [323](#) , [350](#) , [450](#) , [718](#) , [730](#) , [740](#) , [805](#) , [810](#) , [815](#) , [842](#) , [845](#) , [970](#) , [985](#)

A corporation owned and operated by a small group of entities (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a corporate joint venture frequently is to share risks and rewards in developing a new market, product or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A corporate joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a corporate joint venture. The ownership of a corporate joint venture seldom changes, and its stock is usually not traded publicly. A noncontrolling interest held by public ownership, however, does not preclude a corporation from being a corporate joint venture.

Corrective Action

[Glossary Term Usage](#) | See Topic(s): [410](#)

Related to the Resource Conservation and Recovery Act of 1976: action to remedy releases from hazardous waste management units, or any other sources of releases at or from a treatment, storage, or disposal facility.

Cost Approach

[Glossary Term Usage](#) | See Topic(s): [820](#)

A valuation approach that reflects the amount that would be required currently to replace the service capacity of an asset (often referred to as current replacement cost).

Cost of Insurance

[Glossary Term Usage](#) | See Topic(s): [944](#)

Amounts expected to be assessed for mortality.

Cost Recovery Method

Definition 1 | **NO INCOMING LINKS**

Under the cost recovery method, no profit is recognized until cash payments by the buyer, including principal and interest on debt due to the seller and on existing debt assumed by the buyer, exceed the seller's cost of the property sold.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

A revenue recognition method under which premiums are recognized as revenue in an amount equal to estimated claim costs as insured events occur until the ultimate premium is reasonably estimable, and recognition of income is postponed until that time.

Cost-Plus-Award-Fee Contract

[Glossary Term Usage](#) | See Topic(s):

A contract under which the contractor is reimbursed for costs plus a fee consisting of two parts: a fixed amount that does not vary with performance and an award amount based on performance in areas such as quality, timeliness, ingenuity, and cost-effectiveness. The amount of award fee is based on a subjective evaluation of the contractor's performance judged in light of criteria set forth in the contract.

Cost-Plus-Fixed-Fee Contract



[Glossary Term Usage](#) | See Topic(s): [912](#)

A contract under which the contractor is reimbursed for costs plus the provision for a fixed fee.

Cost-Plus-Incentive-Fee Contract (Incentive Based on Cost)



NO INCOMING LINKS

A contract under which the contractor is reimbursed for costs plus a fee which is adjusted by formula in accordance with the relationship which total allowable costs bear to target cost. At the outset there is negotiated a target cost, a target fee, a minimum and maximum fee, and the adjustment formula.

Cost-Plus-Incentive-Fee Contract (Incentive Based on Performance)



NO INCOMING LINKS

A contract under which a contractor is reimbursed for costs plus an incentive to surpass stated performance targets by providing for increases in the fee to the extent that such targets are surpassed and for decreases to the extent that such targets are not met.

Cost-Sharing (Provisions of the Plan)



[Glossary Term Usage](#) | See Topic(s): [715](#)

The provisions of the postretirement benefit plan that describe how the costs of the covered benefits are to be shared between the employer and the plan participants. Cost-sharing provisions describe retired and active plan participants' contributions toward their postretirement health care benefits, deductibles, coinsurance, out-of-pocket limitations on participant costs, caps on employer costs, and so forth.

Cost-Sharing Contract



NO INCOMING LINKS

A contract under which the contractor is reimbursed only for an agreed portion of costs and under which no provision is made for a fee.

Cost-Type Contracts



[Glossary Term Usage](#) | See Topic(s): [605](#) , [910](#)

Contracts that provide for reimbursement of allowable or otherwise defined costs incurred plus a fee that represents profit. Cost-type contracts usually only require that the contractor use his best efforts to accomplish the scope of the work within some specified time and some stated dollar limitation. See also the following common variations of cost-plus contracts:

- a. [Cost-Plus-Award-Fee Contract](#)
- b. [Cost-Plus-Fixed-Fee Contract](#)
- c. [Cost-Plus-Incentive-Fee Contract \(Incentive Based on Cost\)](#)
- d. [Cost-Plus-Incentive-Fee Contract \(Incentive Based on Performance\)](#)
- e. [Cost-Sharing Contract](#)
- f. [Cost-Without-Fee Contract](#).

Cost-Without-Fee Contract

NO INCOMING LINKS

A contract under which the contractor is reimbursed for costs with no provision for a fee.

Costs Incurred to Rent Real Estate Projects

[Glossary Term Usage](#) | See Topic(s): [970](#)

Costs related to real estate rental activities, including the following:

- a. Model units and their furnishings
- b. Rental facilities
- c. Semipermanent signs
- d. Rental brochures
- e. Advertising
- f. Grand openings
- g. Rental overhead including rental salaries.

Costs Incurred to Sell Real Estate Projects

[Glossary Term Usage](#) | See Topic(s): [970](#)

Costs related to the sale of real estate, including the following:

- a. Model units and their furnishings
- b. Sales facilities
- c. Sales brochures
- d. Legal fees for preparation of prospectuses
- e. Semipermanent signs

- f. Advertising
- g. Grand openings
- h. Sales overhead including sales salaries.

Costs of Joint Activities

[Glossary Term Usage](#) | See Topic(s): [958](#)

Costs incurred for a joint activity. Costs of joint activities may include joint costs and costs other than joint costs. Costs other than joint costs are costs that are identifiable with a particular function, such as fundraising, program, management and general, and cost of sales. For example, some costs incurred for printing, paper, professional fees, and salaries to produce donor cards are not joint costs, although they may be incurred in connection with conducting joint activities.

Coupon

[Glossary Term Usage](#) | See Topic(s):

The term coupon is often used to collectively refer to lifted flight coupons and other electronic evidence of boarding, in which case, it is applicable to both paper tickets and electronic tickets.

Coverage

[Glossary Term Usage](#) | See Topic(s): [944](#)

An insurance entity's exposure to loss. The concept of coverage would typically include policy limits, deductible, insured, and covered property or insured event.

Coverage Period

[Glossary Term Usage](#) | See Topic(s): [944](#)

See [Contract Period](#).

CPI-U

NO INCOMING LINKS

See [Consumer Price Index for All Urban Consumers](#).

Cram-Down Provisions

[Glossary Term Usage](#) | See Topic(s): [852](#)

Provisions requiring that for a plan to be confirmed, a class of [claims](#) or interests must either accept the plan or not be impaired. However, the [Bankruptcy Code](#) allows the [Bankruptcy Court](#) under certain conditions to confirm a plan even though an impaired class has not accepted the plan. To do so, the plan must not discriminate unfairly and must be fair and equitable to each class of claims or interests impaired under the plan that have not accepted it. The Bankruptcy Code states examples of conditions for secured claims, unsecured claims, and stockholder interests in the fair and equitable requirement.

CRAT

NO INCOMING LINKS

See [Charitable Remainder Annuity Trust](#).

Credit Card Fees

[Glossary Term Usage](#) | See Topic(s): [310](#)

The periodic uniform fees that entitle cardholders to use credit cards. The amount of such fees generally is not dependent upon the level of credit available or frequency of usage. Typically the use of credit cards facilitates the cardholder's payment for the purchase of goods and services on a periodic, as-billed basis (usually monthly), involves the extension of credit, and, if payment is not made when billed, involves imposition of interest or finance charges. Credit card fees include fees received in similar arrangements, such as charge card and cash card fees.

Credit Derivative

[Glossary Term Usage](#) | See Topic(s): [460](#) , [815](#)

A derivative instrument that has both of the following characteristics:

- a. One or more of its underlyings are related to any of the following:
 1. The credit risk of a specified entity (or a group of entities)
 2. An index based on the credit risk of a group of entities.
- b. It exposes the seller to potential loss from credit-risk-related events specified in the contract.

Examples of credit derivatives include, but are not limited to, credit default swaps, credit spread options, and credit index products.

Credit Life Insurance

[Glossary Term Usage](#) | See Topic(s): [944](#)

Life insurance, generally in the form of decreasing term insurance, that is issued on the lives of borrowers to cover payment of loan balances in case of death.

Credit Quality Indicator

[Glossary Term Usage](#) | See Topic(s): [310](#) , [326](#)

A statistic about the credit quality of a [financial asset](#).

Credit Risk

[Glossary Term Usage](#) | See Topic(s): [815](#) , [820](#)

For purposes of a hedged item in a fair value hedge, credit risk is the risk of changes in the hedged item's fair value attributable to both of the following:

- a. Changes in the obligor's creditworthiness
- b. Changes in the spread over the [benchmark interest rate](#) with respect to the hedged item's credit sector at inception of the hedge.

For purposes of a hedged transaction in a cash flow hedge, credit risk is the risk of changes in the hedged transaction's cash flows attributable to all of the following:

- a. Default
- b. Changes in the obligor's creditworthiness
- c. Changes in the spread over the contractually specified interest rate or the benchmark interest rate with respect to the related financial asset's or liability's credit sector at inception of the hedge.

Credited Service Period

[Glossary Term Usage](#) | See Topic(s): [715](#)

Employee service period for which benefits are earned pursuant to the terms of the plan. The beginning of the credited service period may be the date of hire or a later date. For example, a plan may provide benefits only for service rendered after a specified age. Service beyond the end of the credited service period does not earn any additional benefits under the plan. See [Attribution Period](#).

Crop Development Costs

[Glossary Term Usage](#) | See Topic(s): [905](#)

Costs incurred up to the time crops are produced in commercial quantities, including the costs of land preparation, plants, planting, fertilization, grafting, pruning, equipment use, and irrigation.

Crops

[Glossary Term Usage](#) | See Topic(s): [905](#)

Grains, vegetables, fruits, berries, nuts, and fibers grown by agricultural producers.

Cross-Volatility



[Glossary Term Usage](#) | See Topic(s): [718](#)

A measure of the relationship between the volatilities of the prices of two assets taking into account the correlation between movements in the prices of the assets. See [Volatility](#).

CRUT



NO INCOMING LINKS

See [Charitable Remainder Unitrust](#).

Currency Risk



[Glossary Term Usage](#) | See Topic(s): [820](#)

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Current Assets



[Glossary Term Usage](#) | See Topic(s): [210](#) , [310](#) , [326](#)

Current assets is used to designate cash and other assets or resources commonly identified as those that are reasonably expected to be realized in cash or sold or consumed during the normal operating cycle of the business. See paragraphs [210-10-45-1 through 45-4](#).

Current Cost-Constant Purchasing Power Accounting



[Glossary Term Usage](#) | See Topic(s): [255](#)

A method of accounting based on measures of current cost or lower recoverable amount in units of currency, each of which has the same general purchasing power. For operations in which the dollar is the functional currency, the general purchasing power of the dollar is used and the Consumer Price Index for All Urban Consumers is the required measure of purchasing power. For operations in which the functional currency is other than the dollar, the general purchasing power of either the dollar or the functional currency is used (see paragraphs [255-10-50-45 through 50-47](#)).

Current Liabilities

[Glossary Term Usage](#) | See Topic(s): [210](#)

Current liabilities is used principally to designate obligations whose liquidation is reasonably expected to require the use of existing resources properly classifiable as current assets, or the creation of other current liabilities. See paragraphs [210-10-45-5 through 45-12](#).

Current Shareholders

[Glossary Term Usage](#) | See Topic(s): [946](#)

Shareholders of a fund, or a class of shares of a fund, at an evaluation or measurement date. Amounts attributable to current shareholders are based on shares outstanding at that date and do not include estimates of future reinvestments or other share purchases.

Current Tax Expense (or Benefit)

[Glossary Term Usage](#) | See Topic(s): [323](#) , [740](#)

The amount of income taxes paid or payable (or refundable) for a year as determined by applying the provisions of the enacted tax law to the taxable income or excess of deductions over revenues for that year.

Curtailment

[Glossary Term Usage](#) | See Topic(s): [715](#)

See [Plan Curtailment](#).

Curtailment (of a Postretirement Benefit Plan)

[Glossary Term Usage](#) | See Topic(s): [715](#)

An event that significantly reduces the expected years of future service of active plan participants or eliminates the accrual of defined benefits for some or all of the future services of a significant number of active plan participants.

Customer

[Glossary Term Usage](#) | See Topic(s): [220](#) , [235](#) , [270](#) , [275](#) , [326](#) , [330](#) , [340](#) , [350](#) , [360](#) , [410](#) , [430](#) , [450](#) , [460](#) , [470](#) , [605](#) , [606](#) , [610](#) , [705](#) , [718](#) , [720](#) , [740](#) , [805](#) , [808](#) , [810](#) , [820](#) , [835](#) , [845](#) , [860](#) , [912](#) , [932](#) , [940](#) , [950](#) , [952](#) , [954](#) , [958](#) , [978](#) , [980](#) , [985](#)

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Customer Support

[Glossary Term Usage](#) | See Topic(s): [985](#)

Services performed by an entity to assist customers in their use of software products. Those services include any installation assistance, training classes, telephone question and answer services, newsletters, on-site visits, and software or data modifications.

D

Date of Demutualization

[Glossary Term Usage](#) | See Topic(s): [944](#)

The date the plan of reorganization becomes effective.

Day-One Bonus

[Glossary Term Usage](#) | See Topic(s): [944](#)

See [Immediate Bonus](#).

Daylight Overdraft

[Glossary Term Usage](#) | See Topic(s): [210](#)

Daylight overdraft or other intraday credit refers to the accommodation in the banking arrangements that allows transactions to be completed even if there is insufficient cash on deposit during the day provided there is sufficient cash to cover the net cash requirement at the end of the day. That accommodation may be through a credit facility, including a credit facility for which a fee is charged, or from a deposit of collateral.

Daypart

[Glossary Term Usage](#) | See Topic(s): [920](#)

An aggregation of programs broadcast during a particular time of day (for example, daytime, evening, late night) or programs of a similar type (for example, sports, news, children's shows). Broadcasters generally sell access to

viewing audiences to advertisers on a daypart basis.

Dealer Market

[Glossary Term Usage](#) | See Topic(s): [820](#)

A market in which dealers stand ready to trade (either buy or sell for their own account), thereby providing liquidity by using their capital to hold an inventory of the items for which they make a market. Typically, bid and ask prices (representing the price at which the dealer is willing to buy and the price at which the dealer is willing to sell, respectively) are more readily available than closing prices. Over-the-counter markets (for which prices are publicly reported by the National Association of Securities Dealers Automated Quotations systems or by OTC Markets Group Inc.) are dealer markets. For example, the market for U.S. Treasury securities is a dealer market. Dealer markets also exist for some other assets and liabilities, including other financial instruments, commodities, and physical assets (for example, used equipment).

Debt Security

[Glossary Term Usage](#) | See Topic(s): [220](#) , [310](#) , [320](#) , [325](#) , [326](#) , [715](#) , [740](#) , [958](#)

Any security representing a creditor relationship with an entity. The term debt security also includes all of the following:

- a. Preferred stock that by its terms either must be redeemed by the issuing entity or is redeemable at the option of the investor
- b. A collateralized mortgage obligation (or other instrument) that is issued in equity form but is required to be accounted for as a nonequity instrument regardless of how that instrument is classified (that is, whether equity or debt) in the issuer's statement of financial position
- c. U.S. Treasury securities
- d. U.S. government agency securities
- e. Municipal securities
- f. Corporate bonds
- g. Convertible debt
- h. Commercial paper
- i. All securitized debt instruments, such as collateralized mortgage obligations and real estate mortgage investment conduits
- j. Interest-only and principal-only strips.

The term debt security excludes all of the following:

- a. Option contracts
- b. Financial futures contracts
- c. Forward contracts
- d. Lease contracts
- e. Receivables that do not meet the definition of *security* and, so, are not debt securities, for example:
 - 1. Trade accounts receivable arising from sales on credit by industrial or commercial entities
 - 2. Loans receivable arising from consumer, commercial, and real estate lending activities of financial

institutions.

Debt-Equity Swap

[Glossary Term Usage](#) | See Topic(s): [942](#)

A debt-equity swap is an exchange transaction of a monetary asset for a nonmonetary asset.

Debtor-in-Possession

[Glossary Term Usage](#) | See Topic(s): [852](#)

Existing management continuing to operate an entity that has filed a petition under [Chapter 11](#). The debtor-in-possession is allowed to operate the business in all Chapter 11 cases unless the court, for cause, authorizes the appointment of a [trustee](#).

Decision Maker

[Glossary Term Usage](#) | See Topic(s): [810](#)

An entity or entities with the power to direct the activities of another legal entity that most significantly impact the legal entity's economic performance according to the provisions of the Variable Interest Entities Subsections of Subtopic [810-10](#).

Decision-Making Authority

[Glossary Term Usage](#) | See Topic(s): [810](#)

The power to direct the activities of a legal entity that most significantly impact the entity's economic performance according to the provisions of the Variable Interest Entities Subsections of Subtopic [810-10](#).

Deductible Temporary Difference

[Glossary Term Usage](#) | See Topic(s): [718](#) , [740](#) , [805](#) , [852](#)

Temporary differences that result in deductible amounts in future years when the related asset or liability is recovered or settled, respectively. See [Temporary Difference](#).

Defensive Intangible Asset

[Glossary Term Usage](#) | See Topic(s): [350](#) , [805](#)

An acquired intangible asset in a situation in which an entity does not intend to actively use the asset but intends to hold (lock up) the asset to prevent others from obtaining access to the asset.

Deferment

[Glossary Term Usage](#) | See Topic(s): [978](#)

The postponement of some or all of a debtor's payment obligations.

Deferred Acquisition Costs Tax

[Glossary Term Usage](#) | See Topic(s): [325](#)

Section 848 of the Internal Revenue Code requires insurance entities to capitalize certain policy acquisition costs and defer deducting them in determining the insurer's tax liability. These costs are known as the deferred acquisition costs tax and are based on a percentage of the premium received as specified by the Internal Revenue Code. The initial deferred acquisition costs tax is deducted from a policyholder's policy account balance when the premium is paid. The deferred acquisition costs tax is credited back to the policyholder's policy account balance as the tax deduction is recognized in the insurer's tax return. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Deferred Tax Asset

[Glossary Term Usage](#) | See Topic(s): [718](#) , [740](#) , [805](#)

The deferred tax consequences attributable to deductible temporary differences and carryforwards. A deferred tax asset is measured using the applicable enacted tax rate and provisions of the enacted tax law. A deferred tax asset is reduced by a valuation allowance if, based on the weight of evidence available, it is more likely than not that some portion or all of a deferred tax asset will not be realized.

Deferred Tax Consequences

[Glossary Term Usage](#) | See Topic(s): [740](#) , [805](#)

The future effects on income taxes as measured by the applicable enacted tax rate and provisions of the enacted tax law resulting from temporary differences and carryforwards at the end of the current year.

Deferred Tax Expense (or Benefit)

[Glossary Term Usage](#) | See Topic(s): [323](#) , [718](#) , [740](#)

The change during the year in an entity's deferred tax liabilities and assets. For deferred tax liabilities and assets acquired in a purchase business combination during the year, it is the change since the combination date. Income tax expense (or benefit) for the year is allocated among continuing operations, discontinued operations, and items charged or credited directly to shareholders' equity.

Deferred Tax Liability



[Glossary Term Usage](#) | See Topic(s): [740](#) , [805](#) , [830](#)

The deferred tax consequences attributable to taxable temporary differences. A deferred tax liability is measured using the applicable enacted tax rate and provisions of the enacted tax law.

Defined Benefit Plan



[Glossary Term Usage](#) | See Topic(s): [220](#) , [715](#) , [960](#) , [965](#) , [980](#)

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. Defined benefit health and welfare plans—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. Defined benefit pension plan—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. Defined benefit postretirement plan—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

Defined Contribution Plan



[Glossary Term Usage](#) | See Topic(s): [220](#) , [715](#) , [962](#) , [965](#)

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. Defined contribution health and welfare plans—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. Defined contribution postretirement plan—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

Delayed Equity Investment



[Glossary Term Usage](#) | See Topic(s): [842](#)

In [leveraged lease](#) transactions that have been structured with terms such that the [lessee's](#) rent payments begin one to two years after [lease inception](#), equity contributions the [lessor](#) agrees to make (in the lease agreement or a separate binding [contract](#)) that are used to service the nonrecourse debt during this brief period. The total amount of the lessor's contributions is specifically limited by the agreements.

Demutualization



[Glossary Term Usage](#) | See Topic(s): [944](#)

The conversion of a mutual insurance entity to a stock insurance entity.

Dependency Status



[Glossary Term Usage](#) | See Topic(s): [715](#)

The status of a current or former employee having dependents (for example, a spouse or other relatives) who are expected to receive benefits under a postretirement benefit plan that provides dependent coverage.

Deposit Method



Definition 1 | NO INCOMING LINKS

Under the deposit method, the seller does not recognize any profit, does not record notes receivable, continues to report in its financial statements the property and the related existing debt even if it has been assumed by the buyer, and discloses that those items are subject to a sales contract.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

A revenue recognition method under which premiums are not recognized as revenue and claim costs are not charged to expense until the ultimate premium is reasonably estimable, and recognition of income is postponed until that time.

Derecognize

[Glossary Term Usage](#) | See Topic(s): [860](#)

Remove previously recognized assets or liabilities from the statement of financial position.

Derivative Financial Instrument

[Glossary Term Usage](#) | See Topic(s): [860](#)

A [derivative instrument](#) that is a [financial instrument](#).

Derivative Instrument

[Glossary Term Usage](#) | See Topic(s): [210](#) , [220](#) , [815](#) , [860](#)

Paragraphs [815-10-15-83 through 15-139](#) define the term *derivative instrument*.

Derived Service Period

[Glossary Term Usage](#) | See Topic(s): [718](#)

A service period for an award with a market condition that is inferred from the application of certain valuation techniques used to estimate fair value. For example, the derived service period for an award of share options that the employee can exercise only if the share price increases by 25 percent at any time during a 5-year period can be inferred from certain valuation techniques. In a lattice model, that derived service period represents the duration of the median of the distribution of share price paths on which the market condition is satisfied. That median is the middle share price path (the midpoint of the distribution of paths) on which the market condition is satisfied. The duration is the period of time from the service inception date to the expected date of satisfaction (as inferred from the valuation technique). If the derived service period is three years, the estimated requisite service period is three years and all compensation cost would be recognized over that period, unless the market condition was satisfied at an earlier date. Compensation cost would not be recognized beyond three years even if after the grant date the entity determines that it is not [probable](#) that the market condition will be satisfied within that period. Further, an award of fully vested, deep out-of-the-money share options has a derived service period that must be determined from the valuation techniques used to estimate fair value. See Explicit Service Period, Implicit Service Period, and Requisite Service Period.

Detail Program Design

[Glossary Term Usage](#) | See Topic(s): [985](#)

The detail design of a computer software product that takes product function, feature, and technical requirements to their most detailed, logical form and is ready for coding.

Deterministic Estimate

[Glossary Term Usage](#) | See Topic(s):

The method of estimating [reserves](#) or [resources](#) is called deterministic when a single value for each parameter (from the geoscience, engineering, or economic data) in the reserves calculation is used in the reserves estimation procedure.

Developed Oil and Gas Reserves

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [932](#)

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(6) for the definition of developed oil and gas reserves as used within that Rule.

Development Costs

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [932](#)

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(7), for the definition of development costs as used within that Rule.

Development Project

NO INCOMING LINKS

A development project is the means by which petroleum [resources](#) are brought to the status of [economically producible](#). As examples, the development of a single reservoir or field, an incremental development in a producing field, or the integrated development of a group of several fields and associated facilities with a common ownership may constitute a development project.

Development Well

[Glossary Term Usage](#) | See Topic(s): [932](#)

A development well is a well drilled within the proved area of an oil or gas reservoir to the depth of a stratigraphic horizon known to be productive.

Developmental Costs

[Glossary Term Usage](#) | See Topic(s): [908](#)

Developmental costs include those types of costs directly related to the development of new routes (or extension of existing routes), such as advertising and promotion expenses, related travel and incidental expenses, and expenses of regulatory proceedings.

Diluted Earnings Per Share

[Glossary Term Usage](#) | See Topic(s): [260](#)

The amount of earnings for the period available to each share of common stock outstanding during the reporting period and to each share that would have been outstanding assuming the issuance of common shares for all dilutive potential common shares outstanding during the reporting period.

Dilution

[Glossary Term Usage](#) | See Topic(s): [260](#)

A reduction in EPS resulting from the assumption that convertible securities were converted, that options or warrants were exercised, or that other shares were issued upon the satisfaction of certain conditions.

Direct Effects of a Change in Accounting Principle

[Glossary Term Usage](#) | See Topic(s): [250](#) , [330](#)

Those recognized changes in assets or liabilities necessary to effect a change in accounting principle. An example of a direct effect is an adjustment to an inventory balance to effect a change in inventory valuation method. Related changes, such as an effect on deferred income tax assets or liabilities or an impairment adjustment resulting from applying the subsequent measurement guidance in Subtopic [330-10](#) to the adjusted inventory balance, also are examples of direct effects of a change in accounting principle.

Direct Financing Lease

[Glossary Term Usage](#) | See Topic(s): [220](#) , [255](#) , [310](#) , [450](#) , [805](#) , [810](#) , [840](#) , [842](#) , [860](#) , [970](#)

From the perspective of a [lessor](#), a [lease](#) that meets none of the criteria in paragraph [842-10-25-2](#) but meets the criteria in paragraph [842-10-25-3\(b\)](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Direct Guarantee of Indebtedness

[Glossary Term Usage](#) | See Topic(s): [460](#)

An agreement in which a guarantor states that if the debtor fails to make payment to the creditor when due, the guarantor will pay the creditor. If the debtor defaults, the creditor has a direct claim on the guarantor.

Direct Loan

[Glossary Term Usage](#) | See Topic(s): [718](#)

A direct loan is a loan made by a lender other than the employer to the employee stock ownership plan. Such loans often include some formal guarantee or commitment by the employer.

Direct Loan Origination Costs

[Glossary Term Usage](#) | See Topic(s): [310](#)

Direct loan origination costs represent costs associated with originating a loan. Direct loan origination costs of a completed loan shall include only the following:

- a. Incremental direct costs of loan origination incurred in transactions with independent third parties for that loan
- b. Certain costs directly related to specified activities performed by the lender for that loan. Those activities include all of the following:
 1. Evaluating the prospective borrower's financial condition
 2. Evaluating and recording guarantees, collateral, and other security arrangements
 3. Negotiating loan terms
 4. Preparing and processing loan documents
 5. Closing the transaction.

The costs directly related to those activities shall include only that portion of the employees' total compensation and payroll-related fringe benefits directly related to time spent performing those activities for that loan and other costs related to those activities that would not have been incurred but for that loan. See Section [310-20-55](#) for examples of items.

Disclosure Statement

[Glossary Term Usage](#) | See Topic(s): [852](#)

A written statement containing information approved as adequate by the court. It is required to be presented by a party before soliciting the acceptance or rejection of a plan of reorganization from creditors and stockholders affected by the plan. Adequate information means information of a kind, and in sufficient detail, as far as is reasonably practicable in light of the nature and history of the debtor and the condition of the debtor's records,

that would enable a hypothetical reasonable investor typical of holders of [claims](#) or interests of the relevant class to make an informed judgment about the plan.

Discount

[Glossary Term Usage](#) | See Topic(s): [835](#)

The difference between the net proceeds, after expense, received upon issuance of debt and the amount repayable at its maturity. See [Premium](#).

Discount Rate

[Glossary Term Usage](#) | See Topic(s): [715](#)

A rate or rates used to reflect the time value of money. Discount rates are used in determining the present value as of the measurement date of future cash flows currently expected to be required to satisfy the pension obligation or other postretirement benefit obligation. See [Actuarial Present Value](#).

Discount Rate Adjustment Technique

[Glossary Term Usage](#) | See Topic(s): [410](#) , [820](#)

A present value technique that uses a risk-adjusted discount rate and contractual, promised, or most likely cash flows.

Discount Rate for the Lease

[Glossary Term Usage](#) | See Topic(s): [842](#)

For a [lessee](#), the discount rate for the [lease](#) is the [rate implicit in the lease](#) unless that rate cannot be readily determined. In that case, the lessee is required to use its [incremental borrowing rate](#).

For a [lessor](#), the discount rate for the lease is the rate implicit in the lease.

Disposal

[Glossary Term Usage](#) | See Topic(s): [410](#)

Related to the Comprehensive Environmental Response, Compensation, and Liability Act of 1980 and the Resource Conservation and Recovery Act of 1976: under the Resource Conservation and Recovery Act of 1976, the discharge, deposit, injection, dumping, spilling, leaking, or placing of any solid waste or hazardous waste into or on any land or water so that such solid waste or hazardous waste or any constituent thereof may enter the environment or be emitted into the air or discharged into any waters, including groundwaters. Similarly under the

Comprehensive Environmental Response, Compensation, and Liability Act of 1980 with regard to hazardous substances.

Disposal Group

[Glossary Term Usage](#) | See Topic(s): [205](#) , [360](#) , [610](#) , [958](#)

A disposal group for a long-lived asset or assets to be disposed of by sale or otherwise represents assets to be disposed of together as a group in a single transaction and liabilities directly associated with those assets that will be transferred in the transaction. A disposal group may include a discontinued operation along with other assets and liabilities that are not part of the discontinued operation.

Distribution Costs

[Glossary Term Usage](#) | See Topic(s): [946](#)

Costs, as defined in a distribution agreement between a distributor and a fund, incurred by a distributor in distributing a fund's shares. Such costs may include commission payments to sales representatives, promotional materials, overhead allocations, and interest.

Distribution-Form Demutualization

[Glossary Term Usage](#) | See Topic(s): [944](#)

A situation in which eligible policyholders receive stock, policy credits, additional policyholder benefits, cash, or rights to purchase stock at favorable terms.

Distributor

[Glossary Term Usage](#) | See Topic(s): [946](#)

Usually the principal underwriter that sells the fund's capital shares by acting as an agent (intermediary between the fund and an independent dealer or the public) or as a principal, buying capital shares from the fund at net asset value and selling shares through dealers or to the public (see definition of underwriter in section 2(a)(40) of the Investment Company Act of 1940).

Dividend Fund

[Glossary Term Usage](#) | See Topic(s):

The amount specified by management at contract inception to which interest is credited and from which mortality and expense charges are assessed in the dividend determination mechanism.

Dividend Fund Interest Rate

[Glossary Term Usage](#) | See Topic(s): [944](#)

The interest rate determined at policy issuance used to determine the amount of the [dividend fund](#). It is the rate used to credit interest to the dividend fund, and against which experience is measured to determine the amount of the interest portion of dividends paid to individual policyholders.

Dividend Scales

[Glossary Term Usage](#) | See Topic(s): [944](#)

The actuarial formulas used by life insurance entities to determine amounts payable as dividends on participating policies based on experience factors relating, among other things, to investment results, mortality, [lapse rates](#), expenses, premium taxes, and policy loan interest.

Dividend to Policyholders

[Glossary Term Usage](#) | See Topic(s): [944](#)

Nonguaranteed amounts distributable to policyholders of participating life insurance contracts and based on actual performance of the insurance entity as determined by the insurer. Under various state insurance laws, dividends are apportioned to policyholders on an equitable basis. The dividend allotted to any contract often is based on the amount that the contract, as one of a class of similar contracts, has contributed to the income available for distribution as dividends. Dividends to policyholders include annual policyholder dividends and terminal dividends.

Dividends

[Glossary Term Usage](#) | See Topic(s): [323](#)

Dividends paid or payable in cash, other assets, or another class of stock and does not include stock dividends or stock splits.

Dollar-Roll Repurchase Agreement

[Glossary Term Usage](#) | See Topic(s): [860](#)

An agreement to sell and repurchase similar but not identical securities. The securities sold and repurchased are usually of the same issuer. Dollar rolls differ from regular repurchase agreements in that the securities sold and repurchased have all of the following characteristics:

- a. They are represented by different certificates.

- b. They are collateralized by different but similar mortgage pools (for example, conforming single-family residential mortgages).
- c. They generally have different principal amounts.

Fixed coupon and yield maintenance dollar agreements comprise the most common agreement variations. In a fixed coupon agreement, the seller and buyer agree that delivery will be made with securities having the same stated interest rate as the interest rate stated on the securities sold. In a yield maintenance agreement, the parties agree that delivery will be made with securities that will provide the seller a yield that is specified in the agreement.

Donor-Imposed Condition

[Glossary Term Usage](#) | See Topic(s): [230](#) , [350](#) , [720](#) , [954](#) , [958](#)

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Donor-Imposed Restriction

[Glossary Term Usage](#) | See Topic(s): [230](#) , [954](#) , [958](#)

A donor stipulation (donors include other types of contributors, including makers of certain grants) that specifies a use for a contributed asset that is more specific than broad limits resulting from the following:

- a. The nature of the not-for-profit entity (NFP)
- b. The environment in which it operates
- c. The purposes specified in its articles of incorporation or bylaws or comparable documents for an unincorporated association.

Some donors impose restrictions that are temporary in nature, for example, stipulating that resources be used after a specified date, for particular programs or services, or to acquire buildings or equipment. Other donors impose restrictions that are perpetual in nature, for example, stipulating that resources be maintained in perpetuity. Laws may extend those limits to investment returns from those resources and to other enhancements (diminishments) of those resources. Thus, those laws extend donor-imposed restrictions.

Donor-Restricted Endowment Fund

[Glossary Term Usage](#) | See Topic(s): [230](#) , [958](#)

An endowment fund that is created by a donor stipulation (donors include other types of contributors, including makers of certain grants) requiring investment of the gift in perpetuity or for a specified term. Some donors or laws may require that a portion of income, gains, or both be added to the gift and invested subject to similar restrictions. The term does not include a [Board-Designated Endowment Fund](#). See [Endowment Fund](#).

Donor-Restricted Support

[Glossary Term Usage](#) | See Topic(s): [958](#)

Donor-restricted revenues or gains from contributions that increase [net assets with donor restrictions](#) (donors include other types of contributors, including makers of certain grants).

Down Round Feature

[Glossary Term Usage](#) | See Topic(s): [260](#) , [505](#) , [815](#)

A feature in a [financial instrument](#) that reduces the strike price of an issued financial instrument if the issuer sells shares of its stock for an amount less than the currently stated strike price of the issued financial instrument or issues an equity-linked financial instrument with a strike price below the currently stated strike price of the issued financial instrument.

A down round feature may reduce the strike price of a financial instrument to the current issuance price, or the reduction may be limited by a floor or on the basis of a formula that results in a price that is at a discount to the original exercise price but above the new issuance price of the shares, or may reduce the strike price to below the current issuance price. A [standard antidilution provision](#) is not considered a down round feature.

Downgrade

[Glossary Term Usage](#) | See Topic(s): [978](#)

A transaction under which, as a result of credit concerns, the holder of a time-sharing interval returns the interval to the seller in exchange for a lower-valued interval (and a corresponding reduction in contractual payment obligation). The determination of whether the value is lower is based on a comparison of the sales value of the new interval with the original sales value of the original interval.

DRG

NO INCOMING LINKS

See Diagnosis-Related Group.

Dropdown

[Glossary Term Usage](#) | See Topic(s): [260](#) , [805](#)

A transfer of certain net assets from a sponsor or general partner to a master limited partnership in exchange for consideration.

E

Earnings or Losses of an Investee

[Glossary Term Usage](#) | See Topic(s): [323](#)

Net income (or net loss) of an investee determined in accordance with U.S. generally accepted accounting principles (GAAP).

Earnings Per Share

[Glossary Term Usage](#) | See Topic(s): [260](#)

The amount of earnings attributable to each share of common stock. For convenience, the term is used to refer to either earnings or loss per share.

Earnings Protection Benefit

[Glossary Term Usage](#) | See Topic(s): [944](#)

A feature of an annuity under which, in the event of death, the beneficiary will receive a benefit in addition to the account balance equal to a percentage (for example, 40 percent) of the difference between the account balance and the deposits less withdrawals.

Economic Interest

[Glossary Term Usage](#) | See Topic(s): [954](#) , [958](#)

A not-for-profit entity's (NFP's) interest in another entity that exists if any of the following criteria are met:

- a. The other entity holds or utilizes significant resources that must be used for the purposes of the NFP, either directly or indirectly by producing income or providing services.
- b. The NFP is responsible for the liabilities of the other entity.

See paragraph [958-810-55-6](#) for examples of economic interests.

Economic Interest in an Entity

[Glossary Term Usage](#) | See Topic(s): [718](#)

Any type or form of pecuniary interest or arrangement that an entity could issue or be a party to, including equity securities; financial instruments with characteristics of equity, liabilities, or both; long-term debt and other debt-financing arrangements; leases; and contractual arrangements such as management contracts, service contracts, or intellectual property licenses.

Economic Life

[Glossary Term Usage](#) | See Topic(s): [842](#)

Either the period over which an asset is expected to be economically usable by one or more users or the number of production or similar units expected to be obtained from an asset by one or more users.

Economically Producing



[Glossary Term Usage](#) | See Topic(s):

The term *economically producing*, as it relates to a [resource](#), means a resource that generates revenue that exceeds, or is reasonably expected to exceed, the costs of the operation. The value of the products that generate revenue shall be determined at the terminal point of [oil- and gas-producing activities](#).

Effective Date of the Modification



[Glossary Term Usage](#) | See Topic(s): [842](#)

The date that a [lease modification](#) is approved by both the [lessee](#) and the [lessor](#).

Effective Interest Rate



[Glossary Term Usage](#) | See Topic(s): [230](#) , [310](#) , [326](#)

The rate of return implicit in the [financial asset](#), that is, the contractual interest rate adjusted for any net deferred fees or costs, premium, or discount existing at the origination or acquisition of the financial asset. For [purchased financial assets with credit deterioration](#), however, to decouple interest income from credit loss recognition, the premium or discount at acquisition excludes the discount embedded in the purchase price that is attributable to the acquirer's assessment of credit losses at the date of acquisition.

Effective Notional Amount



[Glossary Term Usage](#) | See Topic(s): [815](#)

The effective notional amount is the stated notional amount adjusted for any leverage factor.

Electronic Ticket



[Glossary Term Usage](#) | See Topic(s): [908](#)

An electronic (or e-ticket) reflects the passenger's itinerary in electronic form. Like paper tickets, e-tickets contain information for each flight segment of a passenger's itinerary. However, while a paper ticket consists of multiple [coupons](#) that are used to record a sale and to document the service rendered, e-tickets exist only as a digital record in the airline computer system and contain no paper coupons. Instead, the airline's host reservation

system or global distribution system (GDS) produces an e-ticket sales record for each sale transaction, which is used to record a sale of e-ticket. Boarding documents are issued for e-tickets at check-in, and the carrier documents transportation service at the boarding point by either collecting boarding documents or scanning them as evidence of the service rendered.

Embedded Call Option



[Glossary Term Usage](#) | See Topic(s): [860](#)

A call option held by the issuer of a financial instrument that is part of and trades with the underlying instrument. For example, a bond may allow the issuer to call it by posting a public notice well before its stated maturity that asks the current holder to submit it for early redemption and provides that interest ceases to accrue on the bond after the early redemption date. Rather than being an obligation of the initial purchaser of the bond, an embedded call option trades with and diminishes the value of the underlying bond.

Embedded Credit Derivative



[Glossary Term Usage](#) | See Topic(s): [815](#)

An [embedded derivative](#) that is also a [credit derivative](#).

Embedded Derivative



[Glossary Term Usage](#) | See Topic(s): [815](#)

Implicit or explicit terms that affect some or all of the cash flows or the value of other exchanges required by a contract in a manner similar to a derivative instrument.

Emerging Entity



[Glossary Term Usage](#) | See Topic(s): [852](#)

An entity (sometimes referred to as the reorganized entity), that has had its plan confirmed and begins to operate as a new entity.

Employee



Definition 1 | [Glossary Term Usage](#) | See Topic(s): [960](#)

A person who has rendered or is presently rendering service.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [220](#) , [718](#)

An individual over whom the grantor of a share-based compensation award exercises or has the right to exercise sufficient control to establish an employer-employee relationship based on common law as illustrated in case law and currently under U.S. Internal Revenue Service (IRS) Revenue Ruling 87-41. A reporting entity based in a foreign jurisdiction would determine whether an employee-employer relationship exists based on the pertinent laws of that jurisdiction. Accordingly, a grantee meets the definition of an employee if the grantor consistently represents that individual to be an employee under common law. The definition of an employee for payroll tax purposes under the U.S. Internal Revenue Code includes common law employees. Accordingly, a grantor that classifies a grantee potentially subject to U.S. payroll taxes as an employee also must represent that individual as an employee for payroll tax purposes (unless the grantee is a leased employee as described below). A grantee does not meet the definition of an employee solely because the grantor represents that individual as an employee for some, but not all, purposes. For example, a requirement or decision to classify a grantee as an employee for U.S. payroll tax purposes does not, by itself, indicate that the grantee is an employee because the grantee also must be an employee of the grantor under common law.

A leased individual is deemed to be an employee of the lessee if all of the following requirements are met:

- a. The leased individual qualifies as a common law employee of the lessee, and the lessor is contractually required to remit payroll taxes on the compensation paid to the leased individual for the services provided to the lessee.
- b. The lessor and lessee agree in writing to all of the following conditions related to the leased individual:
 1. The lessee has the exclusive right to grant stock compensation to the individual for the employee service to the lessee.
 2. The lessee has a right to hire, fire, and control the activities of the individual. (The lessor also may have that right.)
 3. The lessee has the exclusive right to determine the economic value of the services performed by the individual (including wages and the number of units and value of stock compensation granted).
 4. The individual has the ability to participate in the lessee's employee benefit plans, if any, on the same basis as other comparable employees of the lessee.
 5. The lessee agrees to and remits to the lessor funds sufficient to cover the complete compensation, including all payroll taxes, of the individual on or before a contractually agreed upon date or dates.

A nonemployee director does not satisfy this definition of employee. Nevertheless, nonemployee directors acting in their role as members of a board of directors are treated as employees if those directors were elected by the employer's shareholders or appointed to a board position that will be filled by shareholder election when the existing term expires. However, that requirement applies only to awards granted to nonemployee directors for their services as directors. Awards granted to those individuals for other services shall be accounted for as awards to nonemployees.

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 PENDING CONTENT 

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

An individual over whom a reporting entity exercises or has the right to exercise sufficient control to establish an employer-employee relationship based on common law as illustrated in case law and currently under U.S. Internal Revenue Service (IRS) Revenue Ruling 87-41. A reporting entity based in a foreign jurisdiction would determine whether an employee-employer relationship exists based on the pertinent laws of that jurisdiction. Accordingly, an individual meets the definition of an employee if the reporting entity consistently represents that individual to be an employee under common law. The definition of an employee for payroll tax purposes under the U.S. Internal Revenue Code includes common law employees. Accordingly, a reporting entity that classifies an individual potentially subject to U.S. payroll taxes as an employee also must represent that individual as an employee for payroll tax purposes (unless the individual is a leased employee as described below). An individual that meets the definition of an employee includes, but is not limited to, a full-time, part-time, temporary, or seasonal employee. An individual does not meet the definition of an employee solely because the reporting entity represents that individual as an employee for some, but

not all, purposes. For example, a requirement or decision to classify an individual as an employee for U.S. payroll tax purposes does not, by itself, indicate that the individual is an employee because the individual also must be an employee of the reporting entity under common law.

A leased individual is deemed to be an employee of the lessee if all of the following requirements are met:

- a. The leased individual qualifies as a common law employee of the lessee, and the lessor is contractually required to remit payroll taxes on the compensation paid to the leased individual for the services provided to the lessee.

b. The lessor and lessee agree in writing to all of the following conditions related to the leased individual:

1. The lessee has the exclusive right to grant compensation to the individual for the employee service to the lessee.

2. The lessee has a right to hire, fire, and control the activities of the individual. (The lessor also may have that right.)

3. The lessee has the exclusive right to determine the economic value of the services performed by the individual (including wages and the number of units and value of stock compensation granted).

4. The individual has the ability to participate in the lessee's employee benefit plans, if any, on the same basis as other comparable employees of the lessee.

5. The lessee agrees to and remits to the lessor funds sufficient to cover the complete compensation, including all payroll taxes, of the individual on or before a contractually agreed upon date or dates.

A nonemployee director does not satisfy this definition of employee. Nevertheless, nonemployee directors acting in their role as members of a board of directors are treated as employees if those directors were elected by the employer's shareholders or appointed to a board position that will be filled by shareholder election when the existing term expires. However, that requirement applies only to awards and other compensation granted to nonemployee directors for their services as directors. Awards granted and compensation paid to those individuals for other services shall be accounted for as awards and compensation to nonemployees.

Employee Compensation

Glossary Term Usage | See Topic(s): 220

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Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

All forms of cash consideration (including deferred cash compensation), [share-based payment arrangements](#), medical care benefits, [pension benefits](#), [postretirement benefits](#), and [nonretirement postemployment benefits](#) (including special or contractual [termination benefits](#)) given by an entity in exchange for service rendered by [employees](#) or for the termination of employment. This includes compensation cost arising from wages, salaries, profit-sharing, bonuses, [one-time employee termination benefits](#), [other postemployment benefits](#), [employee stock ownership plans](#), employee share purchase plans, [defined contribution plans](#), [multiemployer plans](#), and any other compensation cost recognized in accordance with the guidance in Topic [710](#) on compensation, Topic [712](#) on nonretirement postemployment benefits, Topic [715](#) on retirement benefits, and Topic [718](#) on stock compensation. This

also includes compulsory payments paid to the general government that confer entitlement to receive a (contingent) future social benefit, such as unemployment insurance benefits and supplements; accident, injury, and sickness benefits; old-age, disability, and survivors' pensions; and family allowances, reimbursements for medical and hospital expenses, or provision of hospital or medical services. For [defined benefit plans](#) within the scope of Topic [715](#), employee compensation includes only the [service cost component of net periodic pension cost](#) and the [service cost component of net periodic postretirement benefit cost](#).

Employee Stock Ownership Plan

[Glossary Term Usage](#) | See Topic(s): [220](#) , [260](#) , [480](#) , [718](#)

An employee stock ownership plan is an employee benefit plan that is described by the Employee Retirement Income Security Act of 1974 and the Internal Revenue Code of 1986 as a stock bonus plan, or combination stock bonus and money purchase pension plan, designed to invest primarily in employer stock. Also called an employee share ownership plan.

Employer Loan

[Glossary Term Usage](#) | See Topic(s): [718](#)

An employer loan is a loan made by the employer to the employee stock ownership plan, with no related outside loan.

Endeavor

[Glossary Term Usage](#) | See Topic(s): [808](#)

The activity that participants in a [collaborative arrangement](#) collaborate on. For example, in a biotechnology or pharmaceutical environment the endeavor may be the development and commercialization of a drug candidate. In the entertainment industry, it may be production and distribution of a motion picture.

Endorsement Split-Dollar Life Insurance

[Glossary Term Usage](#) | See Topic(s): [715](#)

A split-dollar life insurance arrangement in which the entity owns and controls the insurance policy. The employer enters into a separate agreement that splits the policy benefits between the employer and the employee. The employer owns the policy, controls all rights of ownership, and may terminate the insurance policy (and, in turn, the policy benefits promised to the employee). To effect the split-dollar arrangement, the employer endorses a portion of the death benefits to the employee (the employee designates a beneficiary for this portion of the death benefits). Upon the death of the employee, the employee's beneficiary typically receives the designated portion of the death benefits directly from the insurance entity and the employer receives the remainder of the death benefits.

Endowment Contract

[Glossary Term Usage](#) | See Topic(s): [944](#)

An insurance contract that provides insurance from inception of the contract to the maturity date (endowment period). The contract specifies that a stated amount, adjusted for items such as policy loans and dividends, if any, will be paid to the beneficiary if the insured dies before the maturity date. If the insured is still living at the maturity date, the policyholder will receive the maturity amount under the contract after adjustments, if any. Endowment contracts generally mature at a specified age of the insured or at the end of a specified period.

Endowment Fund

[Glossary Term Usage](#) | See Topic(s): [230](#) , [958](#)

An established fund of cash, securities, or other assets to provide income for the maintenance of a not-for-profit entity (NFP). The use of the assets of the fund may be with or without donor-imposed restrictions. Endowment funds generally are established by donor-restricted gifts and bequests to provide a source of income in perpetuity or for a specified period. See [Donor-Restricted Endowment Fund](#). Alternatively, an NFP's governing board may earmark a portion of its [net assets](#) as a [Board-Designated Endowment Fund](#). See [Funds Functioning as Endowment](#).

Enhanced 12b-1 Plan

[Glossary Term Usage](#) | See Topic(s): [946](#)

A reimbursement [12b-1](#) plan that provides that, on termination of the plan, the fund is required to continue paying the 12b-1 fee to the extent the distributor has excess costs.

Enhanced-Crediting-Rate Bonus

[Glossary Term Usage](#) | See Topic(s): [944](#)

A sales inducement in which the insurance entity offers customers a crediting rate for a stated period in excess of that currently being offered for other similar contracts.

Entry Price

[Glossary Term Usage](#) | See Topic(s): [820](#)

The price paid to acquire an asset or received to assume a liability in an exchange transaction.



EPS

NO INCOMING LINKS

See [Earnings Per Share](#).

Equitable Right of Redemption



[Glossary Term Usage](#) | See Topic(s): [860](#)

The right of a property owner who has defaulted on a secured obligation to recover the securing property before its sale by paying the amounts due and any appropriate fees and charges. Other creditors of or a receiver for the property owner also may be able to exercise that right. After a transfer of a financial asset, a right of redemption may allow the transferor to buy back the transferred asset.

Equity Interests



[Glossary Term Usage](#) | See Topic(s): [805](#) , [810](#) , [958](#)

Used broadly to mean ownership interests of investor-owned entities; owner, member, or participant interests of mutual entities; and owner or member interests in the net assets of not-for-profit entities.

Equity Kicker



[Glossary Term Usage](#) | See Topic(s): [815](#)

See [Expected Residual Profit](#).

Equity Restructuring



[Glossary Term Usage](#) | See Topic(s): [260](#) , [505](#) , [718](#) , [815](#)

A nonreciprocal transaction between an entity and its shareholders that causes the per-share fair value of the shares underlying an option or similar award to change, such as a stock dividend, stock split, spinoff, rights offering, or recapitalization through a large, nonrecurring cash dividend.

Equity Security



Definition 1 | [Glossary Term Usage](#) | See Topic(s): [321](#) , [820](#) , [958](#)

Any security representing an ownership interest in an entity (for example, common, preferred, or other capital stock) or the right to acquire (for example, warrants, rights, forward purchase contracts, and call options) or

dispose of (for example, put options and forward sale contracts) an ownership interest in an entity at fixed or determinable prices. The term equity security does not include any of the following:

- a. Written equity options (because they represent obligations of the writer, not investments)
- b. Cash-settled options on equity securities or options on equity-based indexes (because those instruments do not represent ownership interests in an entity)
- c. Convertible debt or preferred stock that by its terms either must be redeemed by the issuing entity or is redeemable at the option of the investor.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [715](#)

Any security representing an ownership interest in an entity (for example, common, preferred, or other capital stock) or the right to acquire (for example, warrants, rights, forward purchase contracts, and call options) or dispose of (for example, put options and forward sale contracts) an ownership interest in an entity at fixed or determinable prices. However, the term does not include convertible debt or preferred stock that by its terms either must be redeemed by the issuing entity or is redeemable at the option of the investor.

Equity Shares

[Glossary Term Usage](#) | See Topic(s): [480](#)

Equity shares refers only to shares that are accounted for as equity.

Equity Transfer

[Glossary Term Usage](#) | See Topic(s): [954](#) , [958](#)

An equity transfer is nonreciprocal. An equity transfer is a transaction directly between a transferor and a transferee. Equity transfers are similar to ownership transactions between a for-profit parent and its owned subsidiary (for example, additional paid-in capital or dividends). However, equity transfers can occur only between related not-for-profit entities (NFPs) if one controls the other or both are under common control. An equity transfer embodies no expectation of repayment, nor does the transferor receive anything of immediate economic value (such as a financial interest or ownership).

Equity-Indexed Annuity

[Glossary Term Usage](#) | See Topic(s): [815](#)

A deferred fixed annuity contract with a guaranteed minimum interest rate plus a contingent return based on some internal or external equity index, such as the Standard and Poor's S&P 500 Index.

Error in Previously Issued Financial Statements

[Glossary Term Usage](#) | See Topic(s): [250](#)

An error in recognition, measurement, presentation, or disclosure in financial statements resulting from mathematical mistakes, mistakes in the application of generally accepted accounting principles (GAAP), or oversight or misuse of facts that existed at the time the financial statements were prepared. A change from an accounting principle that is not generally accepted to one that is generally accepted is a correction of an error.

ESOP

NO INCOMING LINKS

See [Employee Stock Ownership Plan](#).

Estimated Current Value

[Glossary Term Usage](#) | See Topic(s): [274](#)

For an asset, the amount at which the item could be exchanged between a buyer and seller, each of whom is well informed and willing, and neither of whom is compelled to buy or sell.

Estimated Residual Value

[Glossary Term Usage](#) | See Topic(s): [842](#)

The estimated fair value of the leased property at the end of the [lease term](#).

Estimated Ultimate Recovery

[Glossary Term Usage](#) | See Topic(s):

Estimated ultimate recovery is the sum of [reserves](#) remaining as of a given date and cumulative production as of that date.

Event

[Glossary Term Usage](#) | See Topic(s): [323](#) , [718](#) , [740](#) , [805](#)

A happening of consequence to an entity. The term encompasses both transactions and other events affecting an entity.

Excess Costs

[Glossary Term Usage](#) | See Topic(s): [946](#)

The cumulative distribution costs incurred by the distributor less the sum of cumulative 12b-1 fees paid, cumulative contingent-deferred sales load payments, and future cumulative contingent-deferred sales load payments by current shareholders, if reasonably estimable.

Exchange

[Glossary Term Usage](#) | See Topic(s): [220](#) , [805](#) , [832](#) , [845](#) , [958](#)

An exchange (or exchange transaction) is a reciprocal transfer between two entities that results in one of the entities acquiring assets or services or satisfying liabilities by surrendering other assets or services or incurring other obligations.

Exchange Market

[Glossary Term Usage](#) | See Topic(s): [820](#)

A market in which closing prices are both readily available and generally representative of fair value. An example of such a market is the New York Stock Exchange.

Exchange Rate

[Glossary Term Usage](#) | See Topic(s): [830](#)

The ratio between a unit of one currency and the amount of another currency for which that unit can be exchanged at a particular time.

Executive Officers

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [942](#)

See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e)(4), for the definition of executive officers for the purpose of Regulation S-X Rule 9-03.

Exempt and Nonexempt Cooperatives

[Glossary Term Usage](#) | See Topic(s): [905](#)

Cooperatives classified according to their federal income tax status. Both types are permitted to deduct from taxable income patronage distributed or allocated on a qualified basis to patrons to the extent that the distributions represent earnings of the cooperative derived from business done with or for the patrons. In addition, cooperatives meeting the requirements of Internal Revenue Code section 521 (exempt cooperatives) are permitted to deduct limited amounts paid as dividends on capital stock and distributions to patrons of income from business done with the U.S. government or its agencies and income from nonpatronage sources.

Exercise Contingency

[Glossary Term Usage](#) | See Topic(s): [815](#)

A provision that entitles the entity (or the counterparty) to exercise an equity-linked financial instrument (or embedded feature) based on changes in an [underlying](#), including the occurrence (or nonoccurrence) of a specified event. Provisions that accelerate the timing of the entity's (or the counterparty's) ability to exercise an instrument and provisions that extend the length of time that an instrument is exercisable are examples of exercise contingencies.

Exercise Price

[Glossary Term Usage](#) | See Topic(s): [260](#)

The amount that must be paid for a share of common stock upon exercise of an option or warrant.

Existing Contract

[Glossary Term Usage](#) | See Topic(s): [944](#)

A contract that is currently held by the contract holder and excludes nonintegrated contract features.

Exit Price

[Glossary Term Usage](#) | See Topic(s): [820](#)

The price that would be received to sell an asset or paid to transfer a liability.

Expected Cash Flow

[Glossary Term Usage](#) | See Topic(s): [810](#) , [815](#) , [820](#)

The probability-weighted average (that is, mean of the distribution) of possible future cash flows.

Expected Long-Term Rate of Return on Plan Assets

[Glossary Term Usage](#) | See Topic(s): [715](#)

An assumption about the rate of return on plan assets reflecting the average rate of earnings expected on existing plan assets and expected contributions to the plan during the period.

Expected Losses

[Glossary Term Usage](#) | See Topic(s): [810](#)

A [legal entity](#) that has no history of net losses and expects to continue to be profitable in the foreseeable future can be a variable interest entity (VIE). A legal entity that expects to be profitable will have expected losses. A VIE's expected losses are the expected negative variability in the fair value of its net assets exclusive of variable interests and not the anticipated amount or variability of the net income or loss.

Expected Losses and Expected Residual Returns

[Glossary Term Usage](#) | See Topic(s): [810](#)

Expected losses and expected residual returns refer to amounts derived from expected cash flows as described in FASB Concepts Statement No. 7, *Using Cash Flow Information and Present Value in Accounting Measurements*. However, expected losses and expected residual returns refer to amounts discounted and otherwise adjusted for market factors and assumptions rather than to undiscounted cash flow estimates. The definitions of [expected losses](#) and [expected residual returns](#) specify which amounts are to be considered in determining expected losses and expected residual returns of a variable interest entity (VIE).

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Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Expected losses and expected residual returns refer to amounts derived from [expected cash flows](#). However, expected losses and expected residual returns refer to amounts discounted and otherwise adjusted for market factors and assumptions rather than to undiscounted cash flow estimates. The definitions of [expected losses](#) and [expected residual returns](#) specify which amounts are to be considered in determining expected losses and expected residual returns of a variable interest entity (VIE). A computation of expected losses, expected residual returns, and [expected variability](#) is illustrated in paragraphs [810-10-55-42 through 55-49](#).

Expected Postretirement Benefit Obligation

[Glossary Term Usage](#) | See Topic(s): [715](#)

The actuarial present value as of a particular date of the postretirement benefits expected to be paid by the employer's plan to or for each employee, the employee's beneficiaries, and any covered dependents pursuant to the terms of the plan.

Expected Residual Profit

[Glossary Term Usage](#) | See Topic(s): [310](#) , [815](#)

The amount of profit, whether called interest or another name, such as equity kicker, above a reasonable amount of interest and fees expected to be earned by a lender.

Expected Residual Returns

[Glossary Term Usage](#) | See Topic(s): [810](#)

A variable interest entity's (VIE's) expected residual returns are the expected positive variability in the fair value of its net assets exclusive of variable interests.

Expected Return on Plan Assets

[Glossary Term Usage](#) | See Topic(s): [715](#)

An amount calculated as a basis for determining the extent of delayed recognition of the effects of changes in the fair value of plan assets. The expected return on plan assets is determined based on the expected long-term rate of return on plan assets and the market-related value of plan assets.

Expected Variability

[Glossary Term Usage](#) | See Topic(s): [810](#)

Expected variability is the sum of the absolute values of the expected residual return and the expected loss. Expected variability in the fair value of net assets includes expected variability resulting from the operating results of the legal entity.

Expendable Parts

[Glossary Term Usage](#) | See Topic(s): [908](#)

Parts that are ordinarily used up (consumed) and replaced with new parts, as opposed to those parts that are capable of being used over and over after being refurbished (rotatable flight equipment).

Expenditures

[Glossary Term Usage](#) | See Topic(s): [835](#)

Expenditures to which capitalization rates are to be applied are capitalized expenditures (net of progress payment collections) for the qualifying asset that have required the payment of cash, the transfer of other assets, or the incurring of a liability on which interest is recognized (in contrast to liabilities, such as trade payables, accruals, and retainages on which interest is not recognized).

Experience Adjustment

[Glossary Term Usage](#) | See Topic(s): [340](#)

A provision in an insurance or reinsurance contract that modifies the premium, coverage, commission, or a combination of the three, in whole or in part, based on experience under the contract.

Explicit Approach to Assumptions

[Glossary Term Usage](#) | See Topic(s): [715](#)

An approach under which each significant assumption used reflects the best estimate of the plan's future experience solely with respect to that assumption. See [Implicit Approach to Assumptions](#).

Explicit Service Period

[Glossary Term Usage](#) | See Topic(s): [718](#)

A service period that is explicitly stated in the terms of a share-based payment award. For example, an award stating that it vests after three years of continuous employee service from a given date (usually the grant date) has an explicit service period of three years. See [Derived Service Period](#), [Implicit Service Period](#), and [Requisite Service Period](#).

Exploitation Costs

[Glossary Term Usage](#) | See Topic(s): [926](#)

All direct costs (including marketing, advertising, publicity, promotion, and other distribution expenses) incurred in connection with the distribution of a film.

Exploration

[Glossary Term Usage](#) | See Topic(s): [932](#)

Exploration involves both of the following:

- a. Identifying areas that may warrant examination
- b. Examining specific areas that are considered to have prospects of containing oil and gas reserves, including drilling exploratory wells and exploratory-type stratigraphic test wells.

Exploration Costs

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [932](#)

See paragraph [932-10-S99-1](#), Regulation S-X Rule 4-10(a)(12), for the definition of exploration costs as used within that Rule.

Exploratory Well



[Glossary Term Usage](#) | See Topic(s): [932](#)

An exploratory well is a well drilled to find a new field or to find a new reservoir in a field previously found to be productive of oil or gas in another reservoir. Generally, an exploratory well is any well that is not a [development well](#), a [service well](#), or a [stratigraphic test well](#).

Extended Warranty



[Glossary Term Usage](#) | See Topic(s): [605](#)

An agreement to provide warranty protection in addition to the scope of coverage of the manufacturer's original warranty, if any, or to extend the period of coverage provided by the manufacturer's original warranty.

F

Face Amount



[Glossary Term Usage](#) | See Topic(s): [815](#)

See [Notional Amount](#).

Fail-to-Deliver



[Glossary Term Usage](#) | See Topic(s): [940](#)

A fail-to-deliver is a securities sale to another broker-dealer that has not been delivered to the buying broker-dealer by the close of business on the settlement date.

Fail-to-Receive



[Glossary Term Usage](#) | See Topic(s): [940](#)

A fail-to-receive is a securities purchase from another broker-dealer not received from the selling broker-dealer by the close of business on the settlement date.



Fair Value

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [718](#)

The amount at which an asset (or liability) could be bought (or incurred) or sold (or settled) in a current transaction between willing parties, that is, other than in a forced or liquidation sale.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [205](#) , [220](#) , [230](#) , [255](#) , [275](#) , [310](#) , [320](#) , [321](#) , [326](#) , [350](#) , [360](#) , [410](#) , [460](#) , [470](#) , [480](#) , [505](#) , [715](#) , [718](#) , [805](#) , [810](#) , [815](#) , [820](#) , [825](#) , [832](#) , [835](#) , [842](#) , [845](#) , [940](#) , [942](#) , [944](#) , [946](#) , [948](#) , [958](#) , [962](#) , [965](#) , [978](#)

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Fair Value Hedge



[Glossary Term Usage](#) | See Topic(s): [815](#)

A hedge of the exposure to changes in the fair value of a recognized asset or liability, or of an unrecognized firm commitment, that are attributable to a particular risk.

Fed Funds Effective Rate Overnight Index Swap Rate



[Glossary Term Usage](#) | See Topic(s): [815](#)

The fixed rate on a U.S. dollar, constant-notional interest rate swap that has its variable-rate leg referenced to the Fed Funds Effective Rate (an overnight rate) with no additional spread over the Fed Funds effective rate on that variable-rate leg. That fixed rate is the derived rate that would result in the swap having a zero fair value at inception because the present value of fixed cash flows, based on that rate, equates to the present value of the variable cash flows.

Federal Home Loan Mortgage Corporation



[Glossary Term Usage](#) | See Topic(s): [948](#)

Often referred to as Freddie Mac, FHLMC is a private corporation authorized by Congress to assist in the development and maintenance of a secondary market in conventional residential mortgages. FHLMC purchases mortgage loans and sells mortgages principally through mortgage participation certificates representing an undivided interest in a group of conventional mortgages. FHLMC guarantees the timely payment of interest and the collection of principal on the participation certificates.

Federal National Mortgage Association



[Glossary Term Usage](#) | See Topic(s): [948](#)

Often referred to as Fannie Mae, FNMA is an investor-owned corporation established by Congress to support the secondary mortgage loan market by purchasing mortgage loans when other investor funds are limited and selling mortgage loans when other investor funds are available.

Fees

[Glossary Term Usage](#) | See Topic(s): [958](#)

See [Compensation](#).

FHLMC

NO INCOMING LINKS

See [Federal Home Loan Mortgage Corporation](#).

Field

[Glossary Term Usage](#) | See Topic(s): [932](#)

A field is an area consisting of a single reservoir or multiple reservoirs all grouped on or related to the same individual geological structural feature and/or stratigraphic condition. There may be two or more reservoirs in a field which are separated vertically by intervening impervious strata, or laterally by local geologic barriers, or by both. Reservoirs that are associated by being in overlapping or adjacent fields may be treated as a single or common operational field. The geological terms structural feature and stratigraphic condition are intended to identify localized geological features as opposed to the broader terms of basins, trends, provinces, plays, areas-of-interest, and so forth.

Field and Row Crops

[Glossary Term Usage](#) | See Topic(s): [905](#)

Field and row crops are usually planted from seeds or are transplanted from beds and develop to the point of harvest within several months.

Film Costs

[Glossary Term Usage](#) | See Topic(s): [220](#) , [926](#)

Film costs include all direct negative costs incurred in the physical production of a film, as well as allocations of production overhead and capitalized interest in accordance with Topic [835](#). Examples of direct negative costs include costs of story and scenario; compensation of cast, directors, producers, extras, and miscellaneous staff;

costs of set construction and operations, wardrobe, and accessories; costs of sound synchronization; rental facilities on location; and postproduction costs such as music, special effects, and editing.

Film Group

[Glossary Term Usage](#) | See Topic(s): [920](#) , [926](#)

The unit of account used for impairment testing for a [film](#) or a [license agreement](#) for program material when the film or license agreement is expected to be predominantly monetized with other films and/or license agreements instead of being predominantly monetized on its own. A film group represents the lowest level for which identifiable cash flows are largely independent of the cash flows of other films and/or license agreements.

Film Prints

[Glossary Term Usage](#) | See Topic(s): [926](#)

Those materials, produced on behalf of a film distributor for delivery to a theater or other similar venue, that contain the completed audio and video elements of a film. Such materials are used by the theater or other similar venue to exhibit the film to its customers.

Films

[Glossary Term Usage](#) | See Topic(s): [920](#) , [926](#)

Feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

Final-Pay Formula

[Glossary Term Usage](#) | See Topic(s): [715](#)

A benefit formula that bases benefits on the employee's compensation over a specified number of years near the end of the employee's service period or on the employee's highest compensation periods. For example, a plan might provide annual pension benefits equal to 1 percent of the employee's average salary for the last 5 years (or the highest consecutive 5 years) for each year of service. A final-pay plan is a plan with such a formula.

Finance Lease

[Glossary Term Usage](#) | See Topic(s): [220](#) , [450](#) , [805](#) , [810](#) , [835](#) , [842](#) , [970](#)

From the perspective of a [lessee](#), a [lease](#) that meets one or more of the criteria in paragraph [842-10-25-2](#).

Financial Asset

[Glossary Term Usage](#) | See Topic(s): [230](#) , [270](#) , [310](#) , [325](#) , [326](#) , [805](#) , [810](#) , [820](#) , [825](#) , [860](#) , [940](#) , [958](#)

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Financial Flexibility

[Glossary Term Usage](#) | See Topic(s): [958](#)

The ability of an entity to take effective actions to alter amounts and timing of cash flows so it can respond to unexpected needs and opportunities.

Financial Guarantee Insurance Contract

[Glossary Term Usage](#) | See Topic(s): [944](#)

A contract issued by an insurance entity that provides protection to the holder of a financial obligation from a financial loss in the event of a default. Specifically, a contract that obligates the insurance entity to pay a claim upon the occurrence of an event of default. The event of a default (insured event) refers to nonpayment (when due) of insured contractual payments (generally principal and interest) by the issuer of the insured financial obligation.

Financial Guarantee Reinsurance Contract

[Glossary Term Usage](#) | See Topic(s): [944](#)

See [Financial Guarantee Insurance Contract](#)

Financial Instrument

[Glossary Term Usage](#) | See Topic(s): [235](#) , [260](#) , [480](#) , [505](#) , [815](#) , [820](#) , [825](#) , [860](#) , [954](#)

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
 1. To deliver cash or another financial instrument to a second entity
 2. To exchange other financial instruments on potentially unfavorable terms with the second entity.

- b. Conveys to that second entity a contractual right either:
1. To receive cash or another financial instrument from the first entity

2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument. Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. All contractual rights (contractual obligations) that are financial instruments meet the definition of asset (liability) set forth in FASB Concepts Statement No. 6, Elements of Financial Statements, although some may not be recognized as assets (liabilities) in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition. For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

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Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
1. To deliver cash or another financial instrument to a second entity
2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
- b. Conveys to that second entity a contractual right either:
1. To receive cash or another financial instrument from the first entity
2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument. Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. Some contractual rights (contractual obligations) that are financial instruments may not be recognized in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition. For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

Financial Liability

[Glossary Term Usage](#) | See Topic(s): [815](#) , [820](#) , [825](#) , [860](#)

A contract that imposes on one entity an obligation to do either of the following:

- a. Deliver cash or another financial instrument to a second entity
- b. Exchange other financial instruments on potentially unfavorable terms with the second entity.

Financial Standby Letter of Credit



[Glossary Term Usage](#) | See Topic(s): [460](#)

An irrevocable undertaking (typically by a financial institution) to guarantee payment of a specified financial obligation.

Financial Statements Are Available to Be Issued



[Glossary Term Usage](#) | See Topic(s): [105](#) , [205](#) , [326](#) , [805](#) , [810](#) , [815](#) , [848](#) , [855](#)

Financial statements are considered available to be issued when they are complete in a form and format that complies with GAAP and all approvals necessary for issuance have been obtained, for example, from management, the board of directors, and/or significant shareholders. The process involved in creating and distributing the financial statements will vary depending on an entity's management and corporate governance structure as well as statutory and regulatory requirements.

Financial Statements Are Issued



[Glossary Term Usage](#) | See Topic(s): [205](#) , [805](#) , [855](#)

Financial statements are considered issued when they are widely distributed to shareholders and other financial statement users for general use and reliance in a form and format that complies with GAAP. (U.S. Securities and Exchange Commission [SEC] registrants also are required to consider the guidance in paragraph [855-10-S99-2](#).)

Financially Interrelated Entities



[Glossary Term Usage](#) | See Topic(s): [954](#) , [958](#)

A recipient entity and a specified beneficiary are financially interrelated entities if the relationship between them has both of the following characteristics:

- a. One of the entities has the ability to influence the operating and financial decisions of the other.
- b. One of the entities has an ongoing economic interest in the net assets of the other.

Financing Activities



[Glossary Term Usage](#) | See Topic(s): [230](#)

Financing activities include obtaining resources from owners and providing them with a return on, and a return of, their investment; receiving restricted resources that by donor stipulation must be used for long-term purposes; borrowing money and repaying amounts borrowed, or otherwise settling the obligation; and obtaining and paying for other resources obtained from creditors on long-term credit.

Financing Receivable

[Glossary Term Usage](#) | See Topic(s): [310](#) , [326](#) , [840](#)

A financing arrangement that has both of the following characteristics:

- a. It represents a contractual right to receive money in either of the following ways:
 1. On demand
 2. On fixed or determinable dates.
- b. It is recognized as an asset in the entity's statement of financial position.

See paragraphs [310-10-55-13 through 55-15](#) for more information on the definition of financing receivable, including a list of items that are excluded from the definition (for example, debt securities).

Firm Commitment

Definition 1 | **NO INCOMING LINKS**

An agreement with a third party that is binding on both parties. The agreement specifies all significant terms, including items to be exchanged, consideration, and timing of the transaction. The agreement includes a disincentive for nonperformance that is sufficiently large to ensure the expected performance. In the context of episodic television series, a firm commitment for future production includes only episodes to be delivered within one year from the date of the estimate of ultimate revenue.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [815](#) , [825](#)

An agreement with an unrelated party, binding on both parties and usually legally enforceable, with the following characteristics:

- a. The agreement specifies all significant terms, including the quantity to be exchanged, the fixed price, and the timing of the transaction. The fixed price may be expressed as a specified amount of an entity's functional currency or of a foreign currency. It may also be expressed as a specified interest rate or specified effective yield. The binding provisions of an agreement are regarded to include those legal rights and obligations codified in the laws to which such an agreement is subject. A price that varies with the market price of the item that is the subject of the firm commitment cannot qualify as a fixed price. For example, a price that is specified in terms of ounces of gold would not be a fixed price if the market price of the item to be purchased or sold under the firm commitment varied with the price of gold.
- b. The agreement includes a disincentive for nonperformance that is sufficiently large to make performance probable. In the legal jurisdiction that governs the agreement, the existence of statutory rights to pursue remedies for default equivalent to the damages suffered by the nondefaulting party, in and of itself, represents a sufficiently large disincentive for nonperformance to make performance probable for purposes of applying the definition of a firm commitment.

Firm Fixed-Price Contract

[Glossary Term Usage](#) | See Topic(s):

A contract in which the price is not subject to any adjustment by reason of the cost experience of the contractor or his performance under the contract.

Firm Purchase Commitment

[Glossary Term Usage](#) | See Topic(s): [205](#) , [360](#)

A firm purchase commitment is an agreement with an unrelated party, binding on both parties and usually legally enforceable, that meets both of the following conditions:

- a. It specifies all significant terms, including the price and timing of the transaction.
- b. It includes a disincentive for nonperformance that is sufficiently large to make performance probable.

Fiscal Funding Clause

[Glossary Term Usage](#) | See Topic(s): [842](#)

A provision by which the lease is cancelable if the legislature or other funding authority does not appropriate the funds necessary for the governmental unit to fulfill its obligations under the lease agreement.

Fixed Participation Method

[Glossary Term Usage](#) | See Topic(s): [860](#)

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which all principal payments on the receivables in the trust are allocated to the investors based on their respective participation interests in the credit card receivables in the trust at the end of the reinvestment period.

Fixed Time

[Glossary Term Usage](#) | See Topic(s): [978](#)

A time-sharing arrangement in which ownership is passed through a deed and the buyer purchases a specific period (generally, a specific week) during the year.

Fixed-Price Contract Providing for Firm Target Cost Incentives

[Glossary Term Usage](#) | See Topic(s):

A contract that provides at the outset for a firm target cost, a firm target profit, a price ceiling (but not a profit ceiling or floor), and a formula (based on the relationship that final negotiated total cost bears to total target cost) for establishing final profit and price.

Fixed-Price Contract Providing for Performance Incentives

[Glossary Term Usage](#) | See Topic(s):

A contract that incorporates an incentive to the contractor to surpass stated performance targets by providing for increases in the profit to the extent that such targets are surpassed and for decreases to the extent that such targets are not met.

Fixed-Price Contract Providing for Prospective Periodic Redetermination of Price

[Glossary Term Usage](#) | See Topic(s):

A contract that provides a firm fixed-price for an initial number of unit deliveries or for an initial period of performance and for prospective price redeterminations either upward or downward at stated intervals during the remaining period of performance under the contract.

Fixed-Price Contract Providing for Retroactive Redetermination of Price

[Glossary Term Usage](#) | See Topic(s):

A contract that provides for a ceiling price and retroactive price redetermination (within the ceiling price) after the completion of the contract, based on costs incurred, with consideration being given to management ingenuity and effectiveness during performance.

Fixed-Price Contract Providing for Successive Target Cost Incentives

[Glossary Term Usage](#) | See Topic(s):

A contract that provides at the outset for an initial target cost, an initial target profit, a price ceiling, a formula for subsequently fixing the firm target profit (within a ceiling and a floor established along with the formula, at the outset), and a production point at which the formula will be applied.

Fixed-Price Contract with Economic Price Adjustment

[Glossary Term Usage](#) | See Topic(s):

A contract that provides for upward or downward revision of contract price upon the occurrence of specifically defined contingencies, such as increases or decreases in material prices or labor wage rates.

Fixed-Price Contracts

[Glossary Term Usage](#) | See Topic(s): [605](#) , [910](#)

A fixed-price or lump-sum contract is a contract in which the price is not usually subject to adjustment because of costs incurred by the contractor. See also the following common variations of fixed-price contracts:

- a. [Firm Fixed-Price Contract](#)
- b. [Fixed-Price Contract with Economic Price Adjustment](#)
- c. [Fixed-Price Contract Providing for Prospective Periodic Redetermination of Price](#)
- d. [Fixed-Price Contract Providing for Retroactive Redetermination of Price](#)
- e. [Fixed-Price Contract Providing for Firm Target Cost Incentives](#)
- f. [Fixed-Price Contract Providing for Successive Target Cost Incentives](#)
- g. [Fixed-Price Contract Providing for Performance Incentives](#)
- h. [Fixed-Price Level-of-Effort Term Contract](#).

Fixed-Price Level-of-Effort Term Contract

[Glossary Term Usage](#) | See Topic(s):

A contract that usually calls for investigation or study in a specific research and development area. It obligates the contractor to devote a specified level of effort over a stated period of time for a fixed dollar amount.

Flat-Benefit Formula

[Glossary Term Usage](#) | See Topic(s): [715](#)

A benefit formula that bases benefits on a fixed amount per year of service, such as \$20 of monthly retirement income for each year of credited service. A flat-benefit plan is a plan with such a formula.

Floating Participation Method

[Glossary Term Usage](#) | See Topic(s): [860](#)

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which principal payments allocated to the investors are based on the investors' actual participation interests in the receivables in the trust each month. Each month, investors' participation interests in the credit card receivables in the trust are redetermined for that month's allocation of principal payments.

Floating Time

[Glossary Term Usage](#) | See Topic(s): [978](#)

A time-sharing arrangement in which ownership is passed through a deed but the buyer is not limited to a specific period (generally, a specific week) during the year.

Floor Broker

[Glossary Term Usage](#) | See Topic(s): [940](#)

A member of a securities exchange who executes transactions on the floor of an exchange for the account of that member's own entity or for the account of other member entities. Broker-dealers often engage floor brokers, who are responsible for executing securities transactions on the exchanges for the account of the broker-dealer. Floor brokers employed by the entity may execute trades on behalf of other broker-dealers, for which the entity is paid a brokerage fee. The purchase and sale department of the broker-dealer maintains the records of floor brokerage fees that are due to other broker-dealers who execute orders on the entity's behalf and brokerage fees due from other broker-dealers.

FNMA

NO INCOMING LINKS

See [Federal National Mortgage Association](#).

Forecasted Transaction

[Glossary Term Usage](#) | See Topic(s): [815](#)

A transaction that is expected to occur for which there is no firm commitment. Because no transaction or event has yet occurred and the transaction or event when it occurs will be at the prevailing market price, a forecasted transaction does not give an entity any present rights to future benefits or a present obligation for future sacrifices.

Foreign Activities

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [942](#)

See paragraph [942-235-S99-1](#), Regulation S-X Rule 9-05(c)(1), for the definition of foreign activities for purposes of Regulation S-X Rule 9-05.

Foreign Currency

[Glossary Term Usage](#) | See Topic(s): [830](#)

A currency other than the functional currency of the entity being referred to (for example, the dollar could be a foreign currency for a foreign entity). Composites of currencies, such as the [Special Drawing Rights](#), used to set prices or denominate amounts of loans, and so forth, have the characteristics of foreign currency.

Foreign Currency Statements

[Glossary Term Usage](#) | See Topic(s): [830](#)

Financial statements that employ as the [unit of measure](#) a functional currency that is not the reporting currency of the reporting entity.

Foreign Currency Transactions

[Glossary Term Usage](#) | See Topic(s): [830](#)

Transactions whose terms are denominated in a currency other than the entity's functional currency. Foreign currency transactions arise when a reporting entity does any of the following:

- a. Buys or sells on credit goods or services whose prices are denominated in foreign currency
- b. Borrows or lends funds and the amounts payable or receivable are denominated in foreign currency
- c. Is a party to an unperformed forward exchange contract
- d. For other reasons, acquires or disposes of assets, or incurs or settles liabilities denominated in foreign currency.

Foreign Currency Translation

[Glossary Term Usage](#) | See Topic(s): [830](#)

The process of expressing in the reporting currency of the reporting entity those amounts that are denominated or measured in a different currency.

Foreign Entity

[Glossary Term Usage](#) | See Topic(s): [805](#) , [810](#) , [830](#)

An operation (for example, subsidiary, division, branch, joint venture, and so forth) whose financial statements are both:

- a. Prepared in a currency other than the reporting currency of the reporting entity
- b. Combined or consolidated with or accounted for on the equity basis in the financial statements of the reporting entity.

Foreign Exchange Risk

[Glossary Term Usage](#) | See Topic(s): [815](#)

The risk of changes in a hedged item's fair value or functional-currency-equivalent cash flows attributable to changes in the related foreign currency exchange rates.

Forgivable Loan

[Glossary Term Usage](#) | See Topic(s): [832](#)

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  December 16, 2028;  December 16, 2029 | **Transition Guidance:** [832-10-65-2](#)

A loan for which the lender agrees to waive repayment under certain prescribed conditions established by a government.

Formation Date

[Glossary Term Usage](#) | See Topic(s): [350](#) , [450](#) , [740](#) , [805](#)

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [805-60-65-1](#)

The formation date of a [joint venture](#) is the date on which an entity initially meets the definition of a joint venture, which is not necessarily the [legal entity](#) formation date. The formation date is the measurement date for the formation transaction. If multiple arrangements are accounted for as a single transaction that establishes the formation of a joint venture, the formation date is the measurement date for all arrangements that form part of the single formation transaction.

Forward Commitment Dollar Roll

[Glossary Term Usage](#) | See Topic(s): [815](#)

See [Government National Mortgage Association Rolls](#).

Forward Exchange Contract

[Glossary Term Usage](#) | See Topic(s): [946](#)

A forward exchange contract is an agreement between two parties to exchange different currencies at a specified exchange rate at an agreed-upon future date.

Fractional Interest

[Glossary Term Usage](#) | See Topic(s): [978](#)

A partial ownership interest in real estate that typically includes larger blocks of time on an annual basis (for example, three weeks or more).

Franchise Agreement

[Glossary Term Usage](#) | See Topic(s): [952](#)

A written business agreement that meets the following principal criteria:

- a. The relation between the franchisor and franchisee is contractual, and an agreement, confirming the rights and responsibilities of each party, is in force for a specified period.
- b. The continuing relation has as its purpose the distribution of a product or service, or an entire business concept, within a particular market area.
- c. Both the franchisor and the franchisee contribute resources for establishing and maintaining the franchise. The franchisor's contribution may be a trademark, a company reputation, products, procedures, manpower, equipment, or a process. The franchisee usually contributes operating capital as well as the managerial and operational resources required for opening and continuing the franchised outlet.
- d. The franchise agreement outlines and describes the specific marketing practices to be followed, specifies the contribution of each party to the operation of the business, and sets forth certain operating procedures that both parties agree to comply with.
- e. The establishment of the franchised outlet creates a business entity that will, in most cases, require and support the full-time business activity of the franchisee. (There are numerous other contractual distribution arrangements in which a local businessperson becomes the authorized distributor or representative for the sale of a particular good or service, along with many others, but such a sale usually represents only a portion of the person's total business.)
- f. Both the franchisee and the franchisor have a common public identity. This identity is achieved most often through the use of common trade names or trademarks and is frequently reinforced through advertising programs designed to promote the recognition and acceptance of the common identity within the franchisee's market area.

The payment of an initial franchise fee or a continuing royalty fee is not a necessary criterion for an agreement to be considered a franchise agreement.

Franchisee

[Glossary Term Usage](#) | See Topic(s): [952](#)

The party who has been granted business rights (the franchise) to operate the franchised business.

Franchisor

[Glossary Term Usage](#) | See Topic(s): [952](#)

The party who grants business rights (the franchise) to the party (the franchisee) who will operate the franchised business.

Fraternal Benefit Society



[Glossary Term Usage](#) | See Topic(s): [944](#)

An entity that provides life or health insurance to its members and their beneficiaries. Policyholders normally participate in the earnings of the society, and insurance contracts stipulate that the society has the power to assess its members if the funds available for future policy benefits are not sufficient to provide for benefits and expenses.

Freestanding Call Option



[Glossary Term Usage](#) | See Topic(s): [860](#)

A call option that is neither embedded in nor attached to an asset subject to that call option.
